



INSURANCE AND PENSIONS COMMISSION (IPEC)

REPORT ON

SHORT TERM (NON-LIFE) INSURANCE

FOR THE YEAR ENDED 31 DECEMBER 2012

Contents

Executive Summary.....	5
SECTION A	6
1. Short-Term Insurance Companies.....	6
1.1. Update on Number of Institutions	7
1.2. Business Trend.....	7
1.3. Capitalization	9
1.4. Asset Quality.....	13
1.5. Reinsurance	16
1.6. Actuarial Liabilities	18
1.7. Earnings	18
1.8. Liquidity	19
1.9. Market Share for Short-Term Insurers.....	19
SECTION B	21
2. Reinsurance Companies	21
2.1. Update on Number of Institutions	22
2.2. Business Trend.....	22
2.3. Capitalization	24
2.4. Asset Quality.....	26
2.5. Retrocession	28
2.6. Actuarial Liabilities	30
2.7. Earnings	30
2.8. Liquidity	31
2.9. Market Share for Reinsurers	31
SECTION C	33
3. Insurance Brokers.....	33
3.1 Update on Number of Insurance Brokers	34
3.2 Business Written	34
3.3 Distribution of Gross Premium Written by Business Class	34
3.4 Earnings for Insurance Brokers	35
3.5 Capitalization	35
3.6 Asset Quality.....	38
3.7 Market Share for Insurance Brokers	39
SECTION D	40
4 Appendices	40

List of Figures

Figure 1: Distribution of Insurers' Gross Premium Written by Business Class	9
Figure 2: Breakdown of Insurers' Total Capital Base	11
Figure 3: Solvency Margin for Short Term Insurers	12
Figure 4: Leverage Ratios for Highly Geared Insurers	13
Figure 5: Breakdown of Short-Term Insurers' Total Assets (\$000)	14
Figure 6: Institutions with High Non Profitable Assets to Total Assets Ratio	15
Figure 7: Net Retention for Short Term Insurance Companies	16
Figure 8: Short Term Insurers' Net Retention Ratios by Class of Business	17
Figure 9: Market Share for Insurers in Terms of GPW and NPW	20
Figure 10: Market Share for Insurers in Terms of Asset Base	20
Figure 11: Distribution of Reinsurers' GPW by Business Class	23
Figure 12: Solvency Margin for Reinsurers	25
Figure 13: Leverage Ratios for Reinsurers	26
Figure 14: Composition of Total Assets for Reinsurers	27
Figure 15: Premium Debtors to GPW and Premium Debtors to Assets Ratios	28
Figure 16: Net Retention Ratios for Reinsurers	29
Figure 17: Reinsurers' Net Retention Ratios by Class of Insurance Business	30
Figure 18: Market Share for Reinsurers in Terms of GPW/NPW	32
Figure 19: Market Share for Reinsurers in Terms of Assets	32
Figure 20: Distribution of Insurance Brokers' Gross Premium Written by Business Class	35
Figure 21: Breakdown of the Total Capital Base for Insurance Brokers	37
Figure 22: Breakdown of Insurance Brokers' Total Assets as at 30 December 2012	39
Figure 23: Market Share for Insurance Brokers in Terms of Premium Written	39

List of Tables

Table 1: Business Written (\$000).....	8
Table 2: Gross Premium Written by Class of Business (\$000).....	8
Table 3: Reported Capitalization Levels for Insurers (\$).....	10
Table 4: Key Performance Indicators (\$000)	22
Table 5: Gross Premium Written by Class of Business (\$000).....	23
Table 6: Reported Capital Positions for Reinsurers (\$).....	24
Table 7: Breakdown of Total Assets (\$000)	26
Table 8: Business Written by Brokers (\$000).....	34
Table 9: Levels of Capitalization for Insurance Brokers (\$ 000)	36

List of Acronyms and Abbreviations

GPW	–	Gross Premium Written
NPW	–	Net Premium Written
IBNR	–	Incurred But Not Reported
ROE	–	Return on Equity
NEP	–	Net Earned Premium
O/S	–	Outstanding
UPR	–	Unearned Premium Reserve
IPEC/The Commission	–	Insurance and Pensions Commission

NOTE: Unless stated otherwise, all monetary figures are in United States Dollars

This report is a first step in the adoption of the CARMELS¹ offsite surveillance framework. All the ratios used in this report are explained in the Appendices.

¹ CARMELS is an acronym for Capital Adequacy, Asset Quality, Reinsurance, Actuarial Liabilities, Management, Earnings, Liquidity and Sensitivity

Executive Summary

The objective of this report is to assess the performance as well as review developments that took place in the short term insurance industry during the quarter ended 31 December 2012. As at 31 December 2012, there were twenty three (23) non-life insurers, nine (9) non-life reinsurers and 30 Insurance brokers who were operational. The business volume continued on an upward trend as reflected by an increase in total gross premium written by non-life insurers and reinsurers from \$158.97 million and \$67.89 million for the year ended 31 December 2011 to \$194 million and \$91.68 million for the year ended 31 December 2012 respectively. Insurance and Reinsurance brokers wrote \$112.06 million out of all the premiums reported for the period under review. Motor and fire insurance continued to be the dominant classes of business for the short term insurance industry. Although most non-life insurers, reinsurers and brokers were compliant with the regulatory minimum capital requirements there are instances where some entities' capital positions were not in sync with levels of business they wrote. In line with the increase in business volume, total assets for non-life insurers, reinsurers and insurance brokers increased from a total of \$271.84 million as at 30 September 2012 to \$293.54 million as at 31 December 2012. Short term insurers and reinsurers reported average net retention ratios of 51.50% and 68.37% for the year ended 31 December 2012. The major challenge noted was failure to remit premiums timeously to reinsurers and retrocessionaires which may negate the effectiveness of the reinsurance and retrocession programmes respectively. The Commission also noted instances where some non-life insurers and reinsurers did not provide for reserves in respect of IBNR and this may heighten exposure to underwriting risk. Total profit after tax for the short term insurers increased from \$6.2 million reported for the year ended 31 December 2011 to \$7.26 million recorded for the period under review. On the other hand, total profit for reinsurers decreased from \$11.99 million for the year ended 31 December 2011 to \$0.66 million for the year ended 31 December 2012. The liquidity position of the non-life insurers as well as that of reinsurers was compromised by high levels of premium debtors which and in some cases the premium debtors are in respect of insurance period prior to the year ended 31 December 2012. This may raise doubts in the recoverability of the said premiums and in turn may imply that some insurers have overstated their capital positions by recognizing such debtors.

SECTION A

1. Short-Term Insurance Companies

1.1. Update on Number of Institutions

As at 31 December 2012, there were twenty eight (28) registered insurers reflecting no change in the number of registered insurers as at 30 September 2012. Out of the registered insurers, only twenty three (23) insurers were operational as at 31 December 2012. The number of non-operational entities increased from four (4) reported as at 30 September 2012 to five (5) as at 31 December 2012 following the suspension of SFG Insurance Company from writing new business owing to capitalization challenges. The Commission will continue to assess the situation in respect of suspended insurers on a case by case basis and, where efforts to resuscitate the institutions are in vain, necessary action such as deregistration and liquidation will be instituted. Our focus will also be on operational institutions to detect any signs of stress and intervene timeously in the interest of policyholders.

Since SFG Insurance Company was suspended from writing new business well after the beginning of the fourth quarter, its financial statements have been incorporated in this report for the sake of completeness.

1.2. Business Trend

The business volume generated by the direct short term insurers continued on an upward trend with total gross premium amounting to \$194.00 million for the year ended 31 December 2012, which reflects a 22.04% growth from \$158.97 million reported for the year ended 31 December 2011. The growth in the volume of business was mainly buoyed by increases in motor insurance and personal and miscellaneous accident insurance whose gross premium written rose by \$17.34 million and \$7.31 million respectively.

As shown in Table 2 below, health insurance reported the highest growth, of 155.76%, in gross premium written from \$0.55 million for the year ended 31 December 2011 to \$1.42 million for the year under review. Business generated from farming and hail insurance decreased by 2.51% from \$8.53 million for the year ended 31 December 2011 to \$8.31 million for the year under review. The decrease could be due to the shunning of the farming business by insurers owing to side marketing by farmers which has resulted in non-remittance or failure to remit all premiums to insurers. This development is unfortunate; especially given that Zimbabwe is an agro based economy, and negatively impacts the country's agricultural output. Table 1 and Table 2 below show the volumes

of business written, and breakdown of gross premium written by class of business respectively.

Table 1: Business Written (\$000)

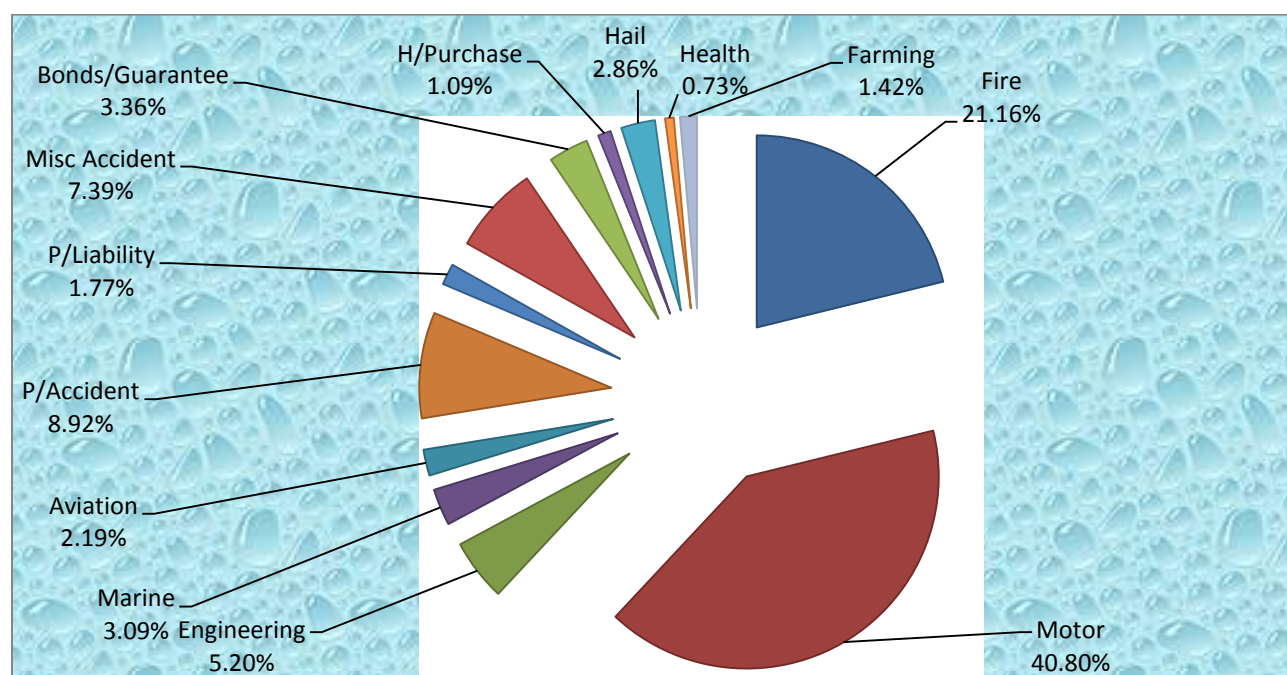
	Year Ended 31 Dec 2011	Year Ended 31 Dec 2012	% Change
Gross Premium Written	158,969	193,998	22.04%
Reinsurance Premium	76,540	94,086	22.92%
Net Premium Written	82,429	99,912	21.21%
Net Earned Premium	80,749	94,199	16.66%

Table 2: Gross Premium Written by Class of Business (\$000)

Class of Insurance	Year Ended 31 Dec 2011	Year Ended 31 Dec 2012	% Change
Fire	37,902	41,059	8.33%
Motor	61,821	79,161	28.05%
Engineering	8,182	10,082	23.22%
Marine	4,572	5,985	30.91%
Aviation	3,385	4,255	25.71%
Personal Accident	14,083	17,302	22.86%
Personal Liability	1,843	3,443	86.80%
Miscellaneous Accident	10,247	14,339	39.93%
Bonds/Guarantee	5,975	6,527	9.25%
Hire Purchase	1,873	2,110	12.66%
Hail	4,579	5,556	21.34%
Health	554	1,417	155.76%
Farming	3,952	2,761	-30.14%
Total	158,969	193,998	22.04%

As has always been the case, the business volume generated for the year ended 31 December 2012 was mainly attributable to motor and fire insurance contributing 40.8% and 21.16% of total gross premium written respectively. The proportion attributable to motor insurance increased marginally by 2.09 percentage points from 38.89% reported for the year ended 31 December 2011. Although comparatively high proportions of business were generated from motor and fire insurance, the business was fairly distributed across all other classes of business as shown in Figure 1 below.

Figure 1: Distribution of Insurers' Gross Premium Written by Business Class



1.3. Capitalization

According to Statutory Instrument (SI) 21 of 2013, the minimum regulatory capital requirement for all short term insurers is now \$1.5 million. All insurers are required to have complied with 50% of the same by 30 June 2013. Full compliance to the minimum regulatory requirements is required by 30 June 2014. As at 31 December 2012, all insurers except SFG Insurance Company and Excellence Insurance Company reported capital levels which were below the minimum capital requirement for short term insurers of \$750,000 effective 30 June 2013. The Commission will be monitoring initiatives to recapitalize the two institutions.

Out of the institutions which complied with the minimum regulatory capital requirement of \$750,000 effective 30 June 2013, Allied Insurance Company and Quality Insurance Company reported the lowest capital maintenance ratios² of 100.02% and 108.00% respectively. This reflects that these two institutions' capital levels are slightly above the minimum regulatory requirement compared to their peers. The Commission will be monitoring the capital position for the two institutions, especially in view of the fact that full compliance with the regulatory minimum capital of \$1.5 million is required by 30 June 2014. Table 3 below shows the reported capital

² This ratio compares the insurer's capital position to the minimum capital requirement and is calculated as capital/Minimum Capital Requirement.

positions for all the short term insurers as at 30 September 2012 and 31 December 2012.

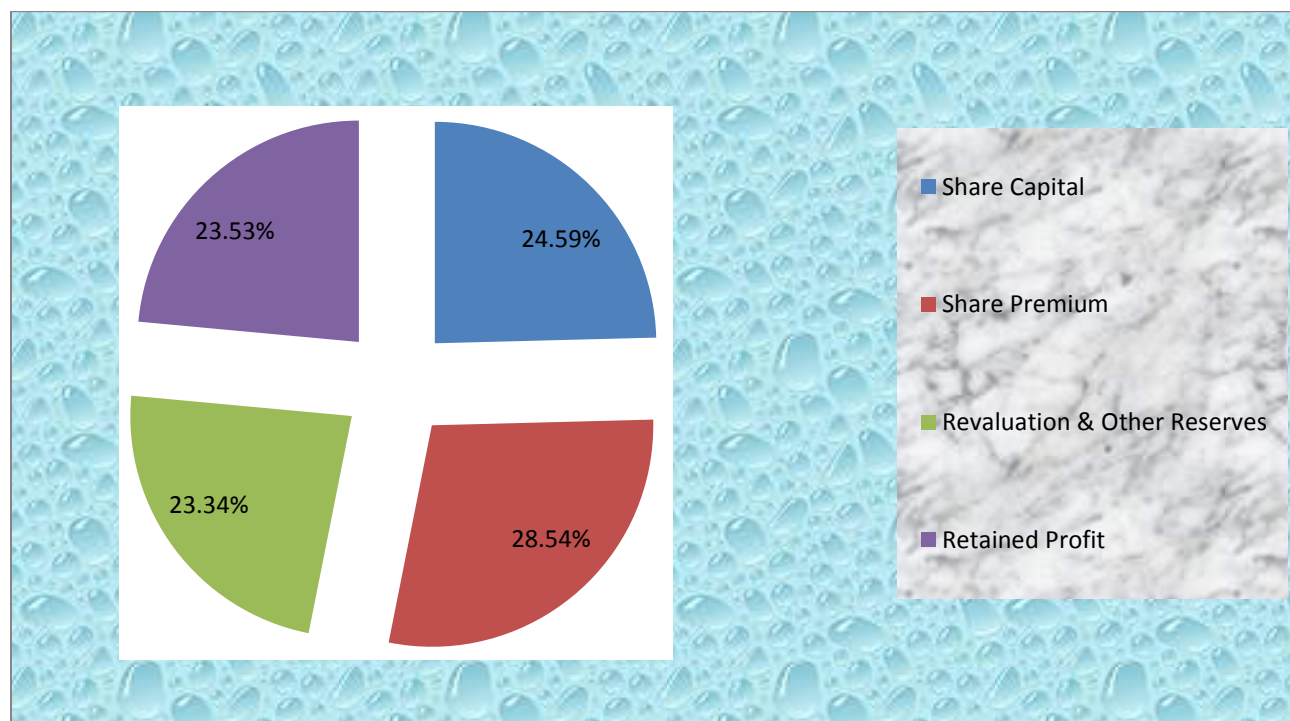
Table 3: Reported Capitalization Levels for Insurers (\$)

Company	As at 30 September 2012	As at 31 December 2012
Alliance Insurance Company	3,012,352	3,637,339
Allied Insurance Company	816,249	750,166
Altfin Insurance Company	1,779,000	1,767,000
CBZ Insurance Company	1,080,425	1,206,630
Cell Insurance Company	2,352,221	3,622,892
Champions Insurance Company	745,958	1,917,222
Clarion Insurance Company	641,620	1,446,380
Credsure Insurance Company	2,615,843	2,506,692
Eagle Insurance Company	2,098,463	2,270,963
Evolution Insurance Company	1,018,468	1,115,467
Excellence Insurance Company	418,866	410,776
Global Insurance Company	1,144,463	1,010,089
Hamilton Insurance Company	1,164,895	1,122,881
Heritage Insurance Company	1,090,357	1,258,053
KMFS Insurance Company	914,931	1,003,164
Nicoz Insurance Company	8,019,000	8,648,000
Quality Insurance Company	737,000	810,000
Regal Insurance Company	518,311	2,017,823
RM Insurance Company	5,618,413	6,728,193
Sanctuary Insurance Company	1,370,666	1,256,752
SFG Insurance Company	(1,662,633)	(2,013,003)
Tetrad Hail Insurance Company	2,292,560	3,031,567
Tristar Insurance Company	846,293	2,123,067
Zimnat Insurance Company	3,248,466	3,142,664

*Green - the insurer complied with the minimum capital requirements (MCR). Amber – insurer failed or complied with MCR but by a low margin. Red – Insurer is seriously undercapitalized. The same interpretation applies to table 6 and 9

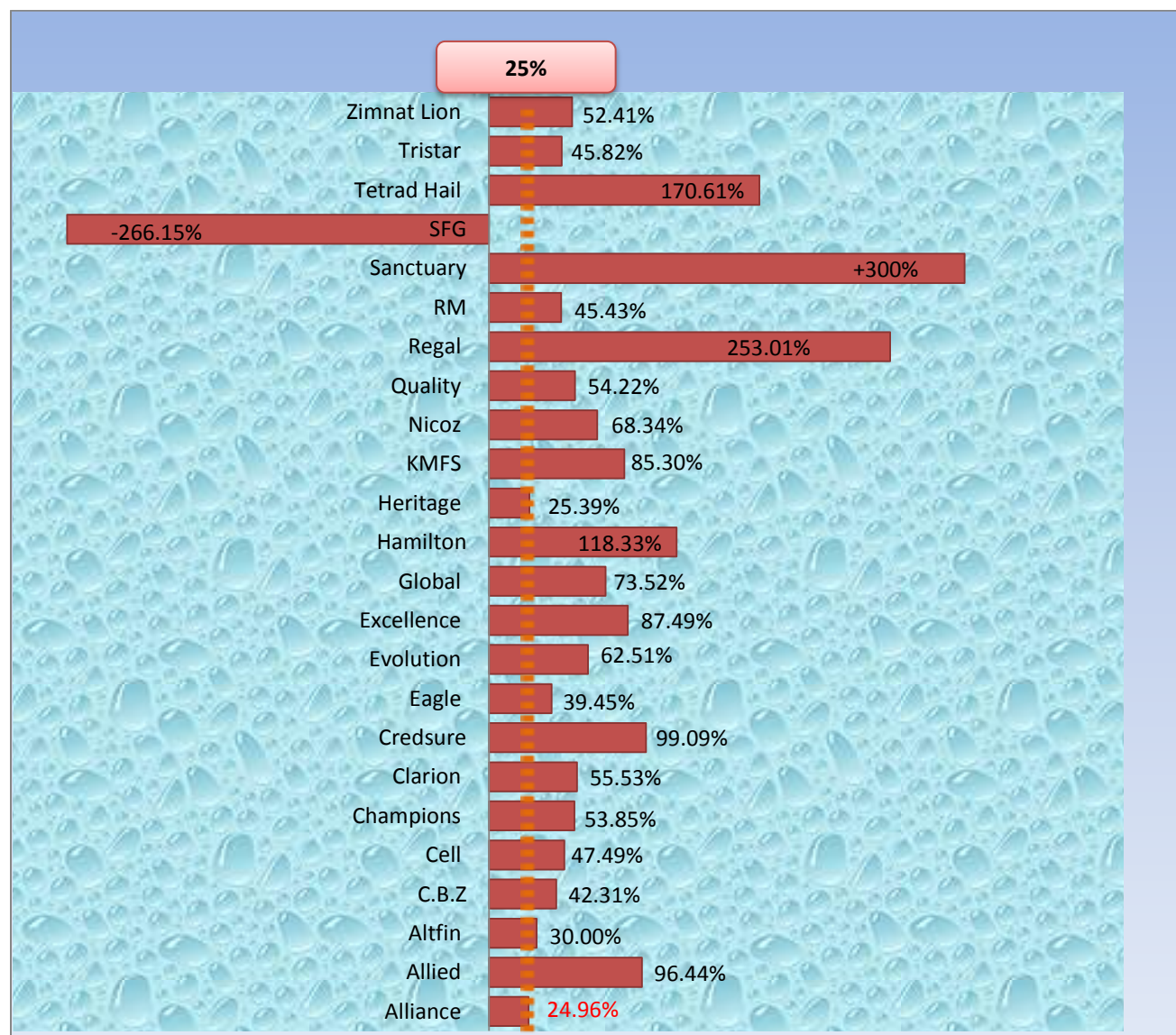
The total capital base for direct short term insurers as at 31 December 2012 was largely attributable to issued and paid up share capital and share premium accounting for 24.59% and 28.54% respectively. As shown in Figure 2 below, there was a decrease in the proportion of the total capital base constituted by revaluation reserves from 27.57% as at 30 September 2012 to 23.34% as at 31 December 2012.

Figure 2: Breakdown of Insurers' Total Capital Base



All direct short term insurers, except SFG Insurance Company and Alliance Insurance Company were, as at 31 December 2012, compliant with the minimum regulatory solvency margin of 25%. This implies that, compared to their peers SFG Insurance Company, Alliance Insurance Company reported capital levels which were less commensurate to the risk they had retained on their books as at 31 December 2012. The low solvency margin reported by Alliance Insurance Company indicates that the insurer could be overtrading. The short term insurance industry average solvency margin was 50.84% as at 31 December 2012, reflecting deterioration from 53.27% reported as at 30 September 2012. Figure 3 below shows the solvency margin for all the direct short term insurers as at 31 December 2012.

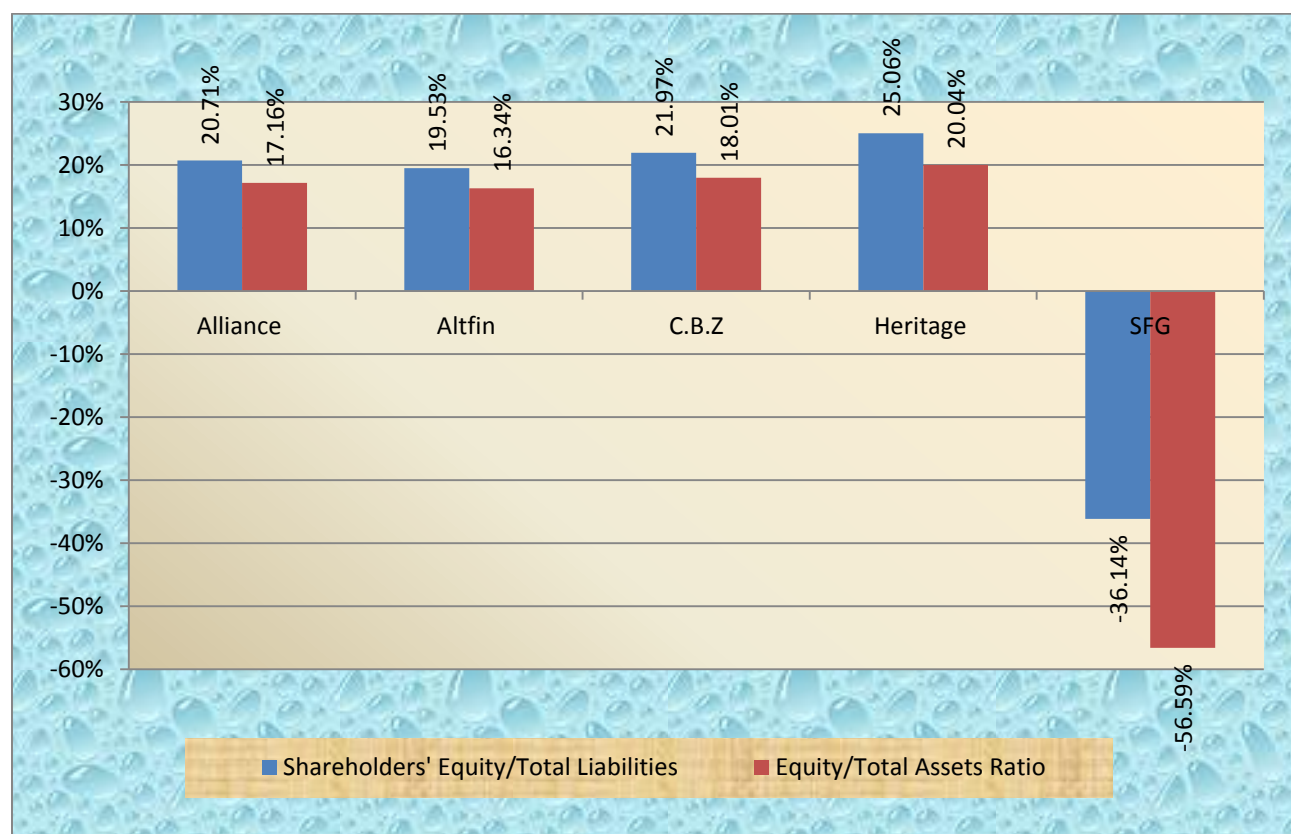
Figure 3: Solvency Margin for Short Term Insurers



Compared to their peers, SFG Insurance Company, Altfin Insurance Company, Alliance Insurance Company, CBZ Insurance Company, Heritage Insurance Company were more leveraged implying that they were funded by debt to a larger extent as at 31 December 2012. This is evidenced by the total equity to liabilities (gearing ratio) and equity to total assets ratios³ for the said companies shown in the diagram below which were significantly below the industry averages of 49.55% and 33.13% respectively. (For the ratios in respect of all insurance companies, see Appendix 1C.)

³ These ratios are used to measure the extent to which a company is financed by debt. The lower the ratios the more the insurance company relies on debt.

Figure 4: Leverage Ratios for Highly Geared Insurers

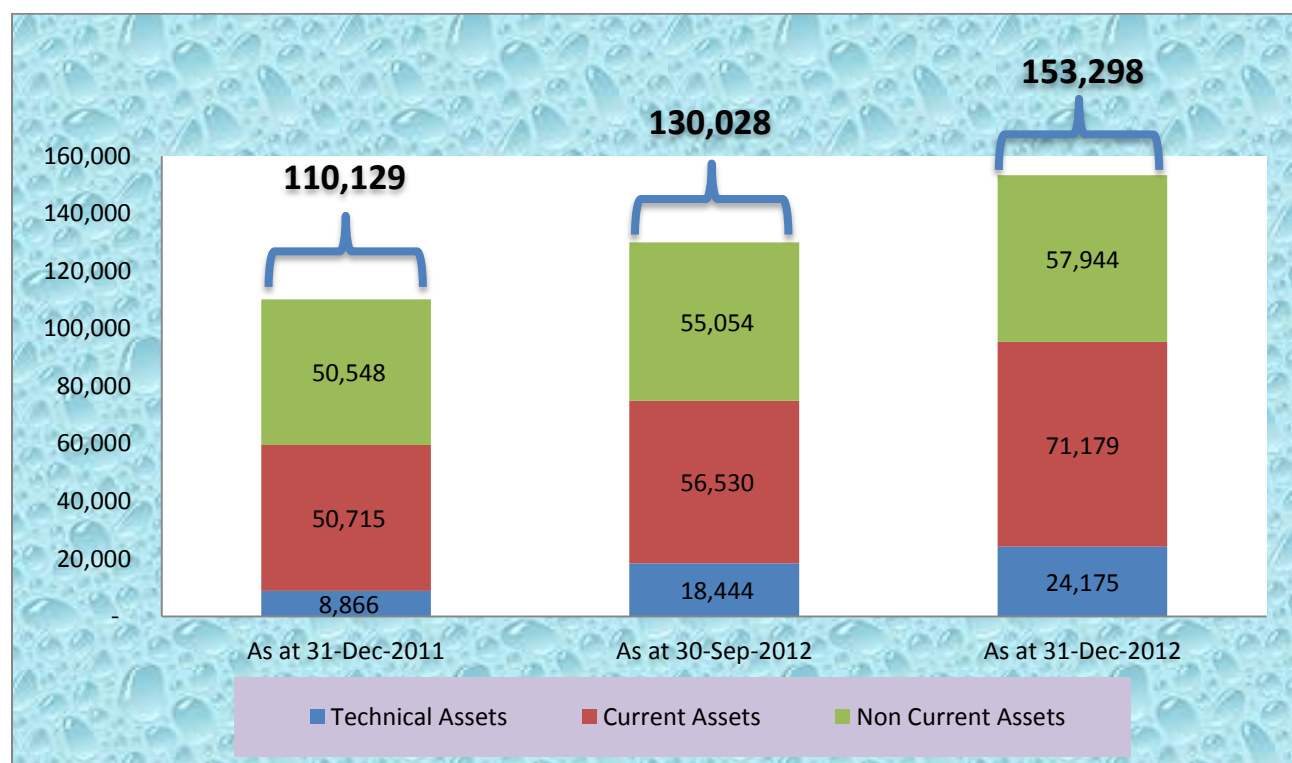


1.4. Asset Quality

The short term insurers' total assets amounted to \$153.30 million as at 31 December 2012, reflecting a 17.90% increase from \$130.03 million reported as at 30 September 2012. The increase was mainly driven by growth in current assets which increased by \$14.65 million during the quarter under review. The current assets were however, mainly made up of premiums receivable accounting for 57.56% of total current assets raising questions on the reliability of the current assets should they be required especially to settle claims. Insurers should always assess the recoverability of the premiums receivable and write off those whose chances of being recovered are remote, lest their financial positions be overstated. Auditors are required to test the recoverability of such premiums given that some of these could be relating to expired policies.

The asset base was skewed towards current assets, which contributed 46.43% and this is in sync with the short term nature of the non-life business. Figure 5 below shows the breakdown of the asset base as at 30 September 2012 and 31 December 2012.

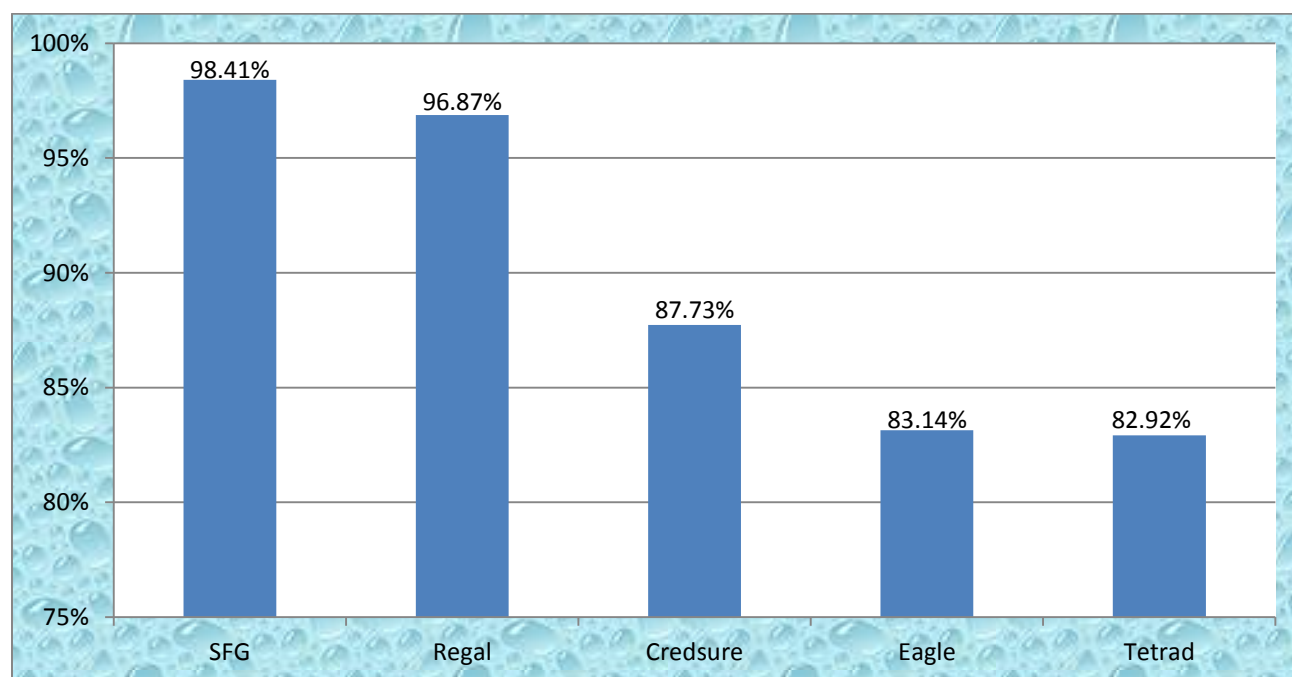
Figure 5: Breakdown of Short-Term Insurers' Total Assets (\$000)



The industry average ratio of investments to total assets as at 31 December 2012 was 22.93%. Regal Insurance Company, Champions Insurance Company, SFG Insurance Company, Cell Insurance Company and CBZ Insurance Company had ratios of investments to total assets of 0.05%, 1.17%, 1.32%, 1.72% and 4.52% respectively and these were significantly below the industry average. This reflects that these insurance companies are sweating their assets less in respect of investment compared to their peers.

As a result of the failure to invest significant proportions of their assets, SFG Insurance Company and Regal Insurance Company, together with Credsure Insurance Company, Eagle Insurance Company and Tetrad Hail Insurance Company had the highest proportions of their assets tied in non-profitable assets such as premium receivables, fixed assets, reinsurers' share of outstanding claims as shown in Figure 6 below. Such a position denies the insurer an opportunity to profitably use or invest premiums timeously. For the ratio of non-profitable assets to total assets for all insurers, see Appendix 1C.

Figure 6: Institutions with High Non Profitable Assets to Total Assets Ratio



As at 31 December 2012, KMFS Insurance Company, Allied Insurance Company and Tetrad Hail Insurance Company had collected the lowest proportions of premiums in respect of the business they wrote in 2012. For every dollar of gross premium written, the institutions failed to collect \$0.52, \$0.64 and \$1.07 respectively as indicated by their premium debtors ratio to gross premium written. The ratio for Tetrad Hail Insurance Company indicates that the institution has premiums receivable aged over 365 days in respect of expired policies which may be difficult to recover. This could be attributed to the practice in farming insurance where premiums are collected in arrears through stop orders at the end of the season.

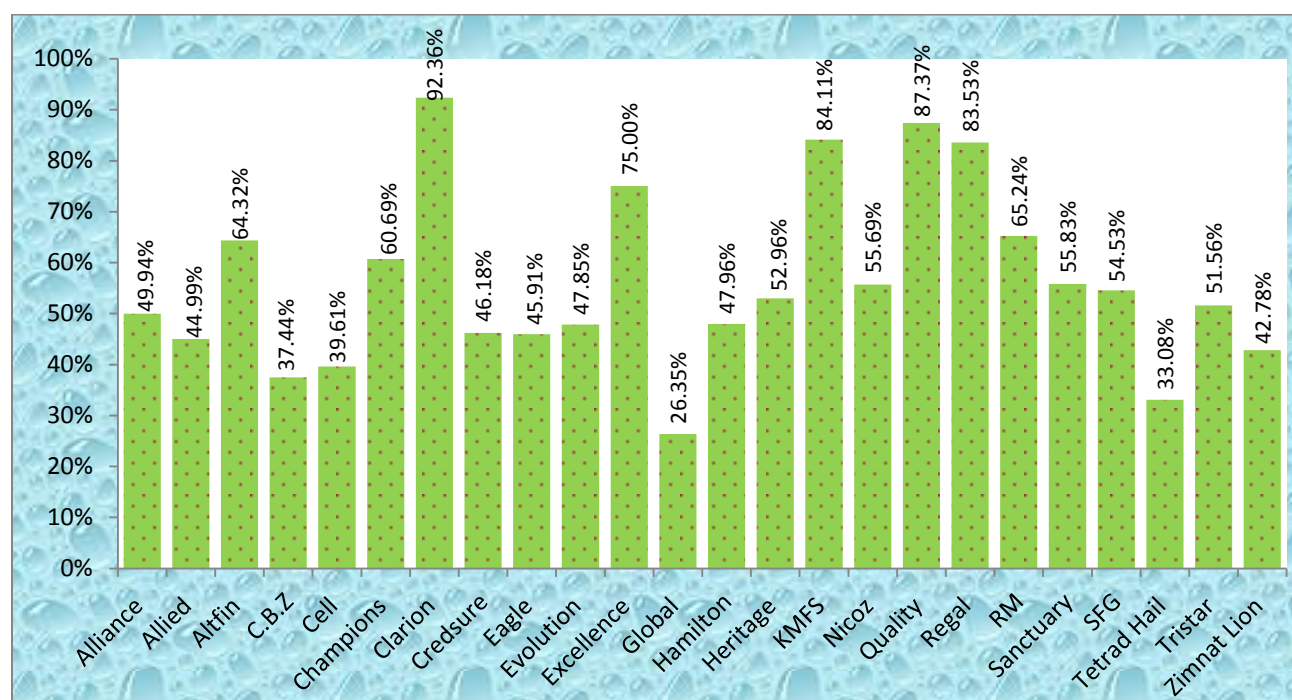
In light of the foregoing, the insurers with higher premium debtors to gross premium ratios are collecting less cash timeously for every dollar of premium written compared to their counterparts and this may negatively impact their liquidity positions. As a result of the foregoing, 57.33% and 56.54% of the total assets for Allied Insurance Company and Tetrad Hail Insurance respectively is made up of premium receivables which implies that huge proportions of their capital is not readily available to fund their day to day operations including settling claims.

1.5. Reinsurance

Short term insurers reported an average net retention ratio of 51.50% for the year ended 31 December 2012, compared to 48.15% reported for the year ended 31 December 2011. This implies a marginal increase in risk appetite. As shown in Figure 7 below, the net retention ratio for individual insurers ranged from 26.35% to 92.36%. Clarion Insurance Company, Quality Insurance Company and KMFS Insurance Company reported the highest net retention ratios of 92.36%, 87.37% and 84.11% respectively. High net retention may increase the exposure of insurers to underwriting risk and can result in volatile profits and subject the insurer to possible ruin. On the other hand, Global Insurance Company, Tetrad Hail Insurance Company and CBZ Insurance Company reported the lowest net retention ratios of 26.35%, 33.08% and 37.44% respectively which are considered to be acceptable.

Maintaining extremely low net retention is synonymous to fronting. Fronting is a poor risk-management practice since it may result in underwriting and claims adjudication practices being weak. In addition, there is still the risk that the reinsurer may default. Against this background, the Commission encourages insurers to increase their capital bases to enable them to retain optimal levels of business. Figure 7 below shows the net retention for all the direct short term insurers for the period under review.

Figure 7: Net Retention for Short Term Insurance Companies

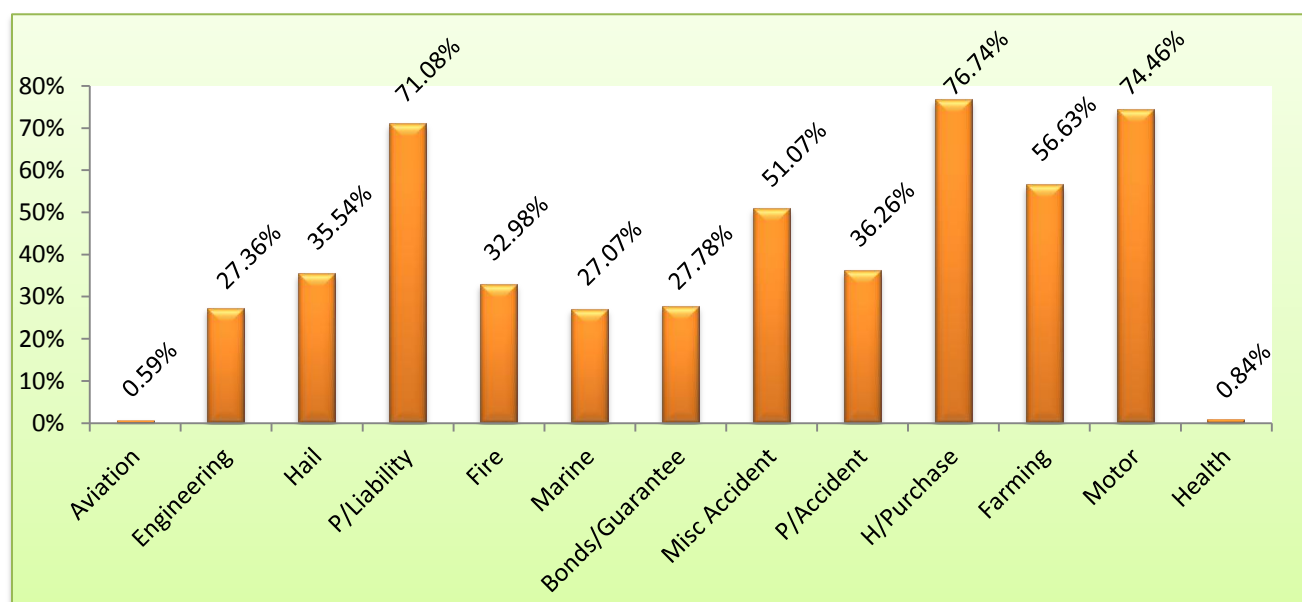


The Commission has noted with concern situations whereby insurers' premium remittances to reinsurers are not up to date. For example, Tetrad Hail Insurance Company and Regal Insurance Company reported reinsurance creditors to reinsurance premium ratios of 109.27% and 100% respectively which were significantly above the industry average of 30.08%. In the absence of any credit terms between the said insurers and the reinsurers, there may be effectively no reinsurance cover in place. The reinsurance arrangements purported to be in place will be giving a false sense of security. A ratio more than 100% indicate that the insurer as at 31 December 2012 had not remitted premiums to reinsurers in respect of the year under review as well as prior year(s).

The Commission has noted with concern high exposures to inherent credit risk that is prevalent in some insurers emanating from their reinsurance arrangements as exhibited by high ratios of reinsurers' share of outstanding claims to capital. For example CBZ Insurance Company, Cell Insurance Company, Altfin Insurance Company and Zimnat Lion Insurance Company reported reinsurers' share of outstanding claims to capital ratios of 190.73%, 181.15%, 173.01% and 96.47% respectively. In the event that the reinsurers default, the said insurers will have 190.73%, 181.15%, 173.01% and 96.47% respectively of their capital wiped out.

Hire purchase and motor insurance remained the business classes with the highest net retention ratios of 76.74% and 74.46% respectively. Figure 8 below shows the net retention ratio in different classes of business for the year ended 31 December 2012.

Figure 8: Short Term Insurers' Net Retention Ratios by Class of Business



1.6. Actuarial Liabilities

Contrary to the requirements of *section 25(2)* of the *Insurance Act [Chapter 24:07]*, a number of insurers did not provide for reserves in respect of incurred but not reported (IBNR) claims as at 31 December 2012 (see Appendix 1B and 1C for more details). This results in understatement of liabilities and thus overstated capital positions. In view of the foregoing, the ratios of technical reserves to capital and outstanding claims plus IBNR to capital were biased hence no meaningful analysis or comparison could be made. If the trend of failing to provide for reserves continues, the Commission will take necessary action.

1.7. Earnings

Total profit after tax for the short term insurers amounted to \$7.26 million for the year ended 31 December 2012, compared to \$6.2 million reported for the year ended 31 December 2011. The increase in profits reported was on the back of increased volume of business. Despite the direct short term insurers' sector reporting a positive overall profit position, five insurers namely SFG Insurance Company, Tristar Insurance Company, Hamilton Insurance Company, Regal Insurance Company and KMFS Insurance Company recorded losses during the year under review. Losses for SFG Insurance Company were mainly driven by both high operating costs as well as high levels of losses. On the other hand losses for Regal Insurance Company and KMFS Insurance Company were mainly driven by high operating costs. Hamilton Insurance Company's losses were mainly attributable to negative returns emanating from the marking to market of the institution's investment portfolio.

Although in absolute values profit levels were higher in 2012 compared to 2011, the average return on assets (ROA) and return on equity (ROE) for the direct short term insurers deteriorated from 5.63% and 16.08% for the year ended 31 December 2011 to 4.73% and 14.29% respectively for the year ended 31 December 2012. This implies that the increase in profits was not in sync with the growth in the size of the statement of financial position for all the direct short term insurers.

Underwriting profits amounted to \$5.12 million for the period under review. As was the case in the overall profitability, the increase in underwriting profits was not in line with the increase in business underwritten as shown by the deterioration of the combined ratio from 91.6% for the year ended 31 December 2011 to 94.56% for the year under review. The deterioration in the

combined ratio was mainly attributable to an increase in claims which resulted in the increase in the loss ratio from 38.70% for the year ended 31 December 2011 to 46.65% for the year ended 31 December 2012. Investment income accounted for 2.81% of net premium written (NPW) indicating that the short term insurers are generating the bulk of their income from their core business of underwriting. Insurers are encouraged to charge economic premiums, thus avoiding undercutting to enable them to improve underwriting profits.

1.8. Liquidity

The total excess of current assets over liabilities for the insurers amounted to \$17.86 million as at 31 December 2012. The ability of the short term insurers to use their current assets to meet their current liabilities is seriously constrained by high levels of premiums receivable. Thus the liquidity of the insurers is also under threat from delays in the collection of premiums. The liquidity challenges being faced by the short term insurers as explained in the foregoing are evidenced by the current ratio of 133.51% vis-à-vis an acid test ratio of 56.67% reported as at 31 December 2012 which indicates that the total current assets of the insurers are mainly attributable to premiums receivable. Premiums receivable are not readily available for use by the insurers in their day to day operations.

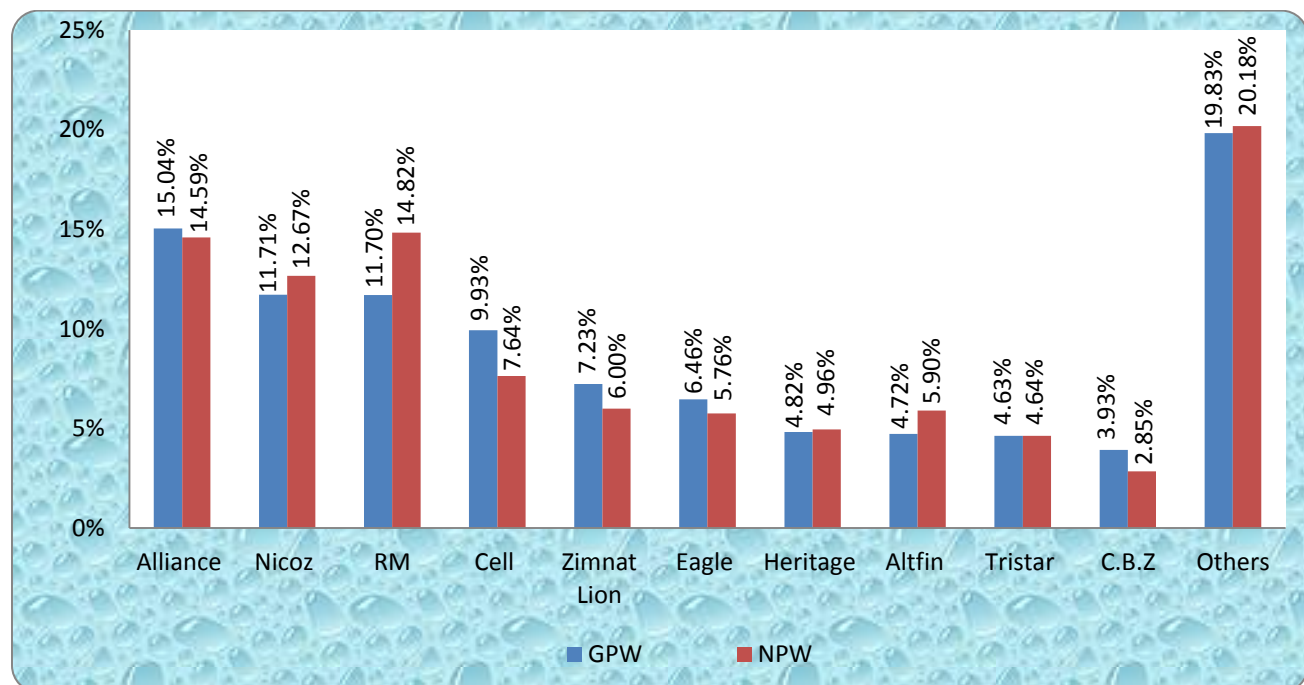
1.9. Market Share for Short-Term Insurers

Judging from the business written for the year ended 31 December 2012, the direct short term insurers' sector was considered unconcentrated with Herfindahl Indices⁴ of 0.08 and 0.09 in terms of gross premium written and net premium written respectively. This implies the absence of strong dominance by few insurers, a situation which is healthy for the market given the levels of competition that arise from the same.

As shown in the diagram below, Alliance Insurance Company, Nicoz Diamond Insurance Company and RM Insurance Company were the top three insurers in terms of both gross premium written and net premium written with a combined market share of 38.46% and 42.08% respectively. Figure 9 below shows the market shares in terms of gross premium written and net premium written for the period under review.

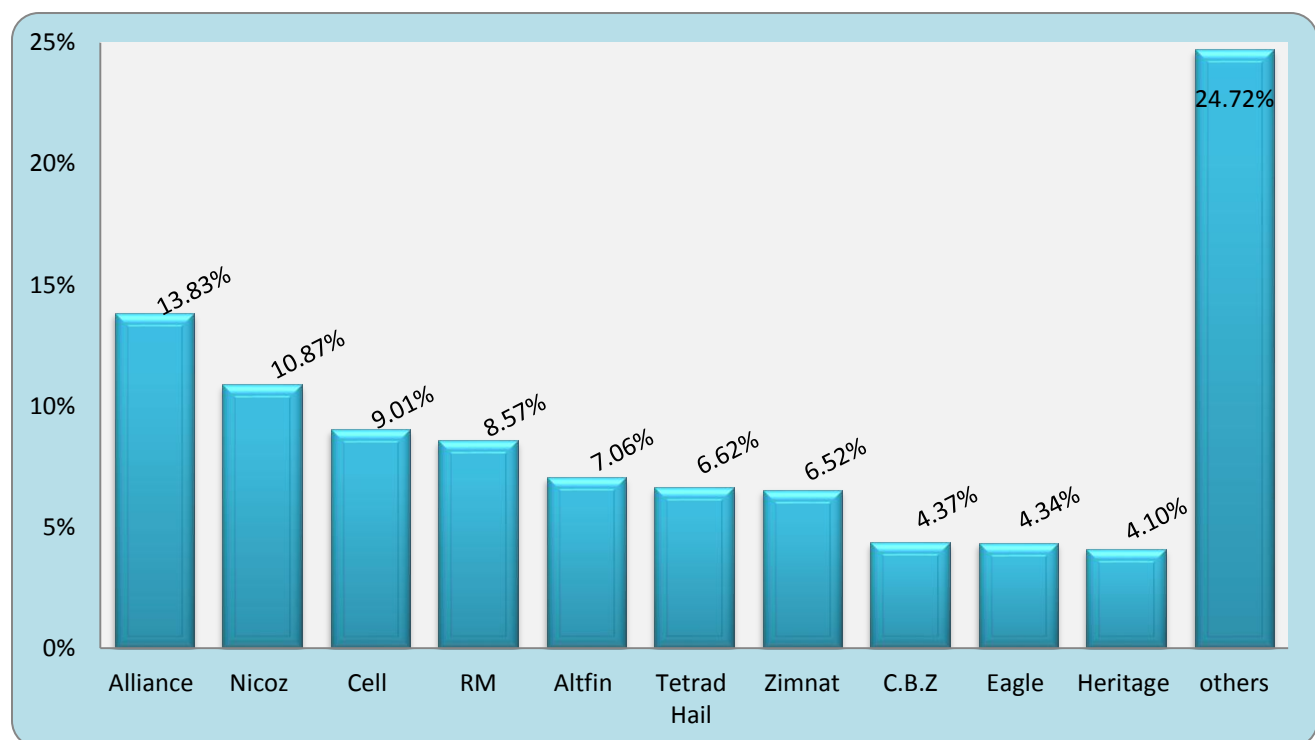
⁴ The Herfindahl Index is the sum of squared market shares of firms in an industry. An index below 0.1 indicates an unconcentrated industry, an index of 0.1 to 0.18 indicates moderate concentration and an index above 0.18 indicates high concentration.

Figure 9: Market Share for Insurers in Terms of GPW and NPW



As shown in Figure 10 below, in terms of assets, Alliance Insurance Company, Nicoz Diamond Insurance Company and Cell Insurance Company were the market leaders with a combined market share of 33.71%, as at 31 December 2012.

Figure 10: Market Share for Insurers in Terms of Asset Base



SECTION B

2. Reinsurance Companies

2.1. Update on Number of Institutions

There were ten (10) registered reinsurers as at 31 December 2012 reflecting no change from the number reported as at 30 September 2012. Horizon Reinsurance Company was the only reinsurer that was not operational as at 31 December 2012.

2.2. Business Trend

The business written by reinsurers increased as evidenced by the growth in total gross premium written by 35.04% from \$67.89 million for the year ended 31 December 2011 to \$91.68 million for the year ended 31 December 2012. Total GPW reported by reinsurers was below reinsurance premium reported by direct insurers which amounted to \$94.09 million. Since all reinsurance premiums by direct insurers are ceded to reinsurers, the difference between reinsurance premiums by insurers and total GPW for reinsurers may be attributable to placement of business by local insurers outside Zimbabwe. Insurers should always insure that all placements of insurance business in respect of Zimbabwean risks are authorized by the Commission in line with *section 72* of the *Insurance Act [Chapter 24:07]*.

Table 4: Key Performance Indicators (\$000)

	Year Ended 31 Dec 2011	Year Ended 31 Dec 2012	% Change
Gross Premium Written	67,891	91,681	35.04%
Retrocession Premium	21,473	22,575	5.13%
Net Premium Written	46,418	69,106	48.88%
Net Earned Premium	43,385	66,805	53.98%

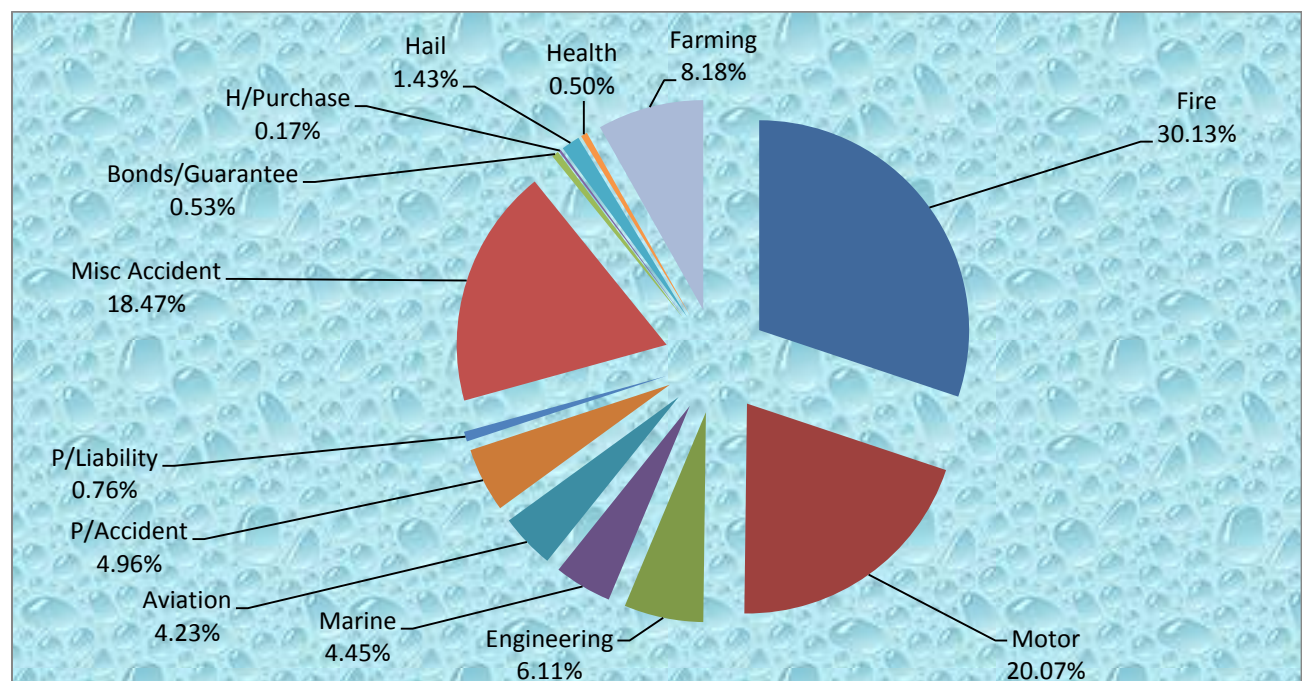
The growth in business written by reinsurers was mainly driven by increases in gross premium written from motor, miscellaneous accident and fire insurance which amounted to \$5.65 million, \$5.50 million and \$5.26 million respectively. As shown in Table 5 below, hail and hire purchase insurance recorded the highest percentage growths of 1,795.65% and 263.64% respectively, compared to other business classes. On the other hand, business generated from bonds/guarantees and health was on a downward trend decreasing from \$0.76 million and \$2.35 million for the year ended 31 December 2011 to \$0.49 million and \$0.46 million for the year ended 31 December 2012 respectively.

Table 5: Gross Premium Written by Class of Business (\$000)

Class	Year Ended 31 Dec 2011	Year Ended 31 Dec 2012	% Change
Fire	22,363	27,625	23.53%
Motor	12,754	18,399	44.26%
Engineering	5,193	5,602	7.88%
Marine	2,100	4,076	94.10%
Aviation	3,615	3,882	7.39%
Personal Accident	2,817	4,550	61.52%
Personal Liability	468	697	48.93%
Miscellaneous Accident	11,437	16,932	48.05%
Bonds/Guarantee	756	487	-35.58%
Hire Purchase	44	160	263.64%
Hail	69	1,308	1,795.65%
Health	2,348	460	-80.41%
Farming	3,926	7,502	91.09%
Total	67,891	91,681	35.04%

Fire, motor and miscellaneous accident insurance remained the dominant classes of business contributing 30.13%, 20.07% and 18.47% of total gross premium written respectively for the year ended 31 December 2012. Given the fair distribution of business across classes of business as shown in Figure 11 below, concentration risk was considered moderate.

Figure 11: Distribution of Reinsurers' GPW by Business Class



2.3. Capitalization

According to Statutory Instrument (SI) 21 of 2013, the minimum capital requirement for all short term reinsurers is now \$1.5 million. All reinsurers are required to comply with 50% of the minimum capital requirement by 30 June 2013 and full compliance is required by 30 June 2014. As shown in Table 6 below, as at 31 December 2012, all reinsurers except Colonnade Reinsurance Company, New Reinsurance Company and PTA Reinsurance Company were compliant with the minimum capital requirement for reinsurers of \$750,000 effective 30 June 2013.

Table 6: Reported Capital Positions for Reinsurers (\$)

Company	As at 30 September 2012	As at 31 December 2012
Baobab Reinsurance Company	28,454,000	28,264,139
Colonnade Reinsurance Company	551,000	707,106
FBC Reinsurance Company	6,712,000	7,094,525
FMRE Property & Casualty	3,923,000	5,108,325
Grand Reinsurance Company	9,897,000	9,804,037
New Reinsurance Company	513,000	551,000
Tropical Reinsurance Company	2,393,000	2,185,730
ZB Reinsurance Company	3,446,000	3,719,090
PTA Reinsurance Company (Zep – Re)*	983,000	652,606

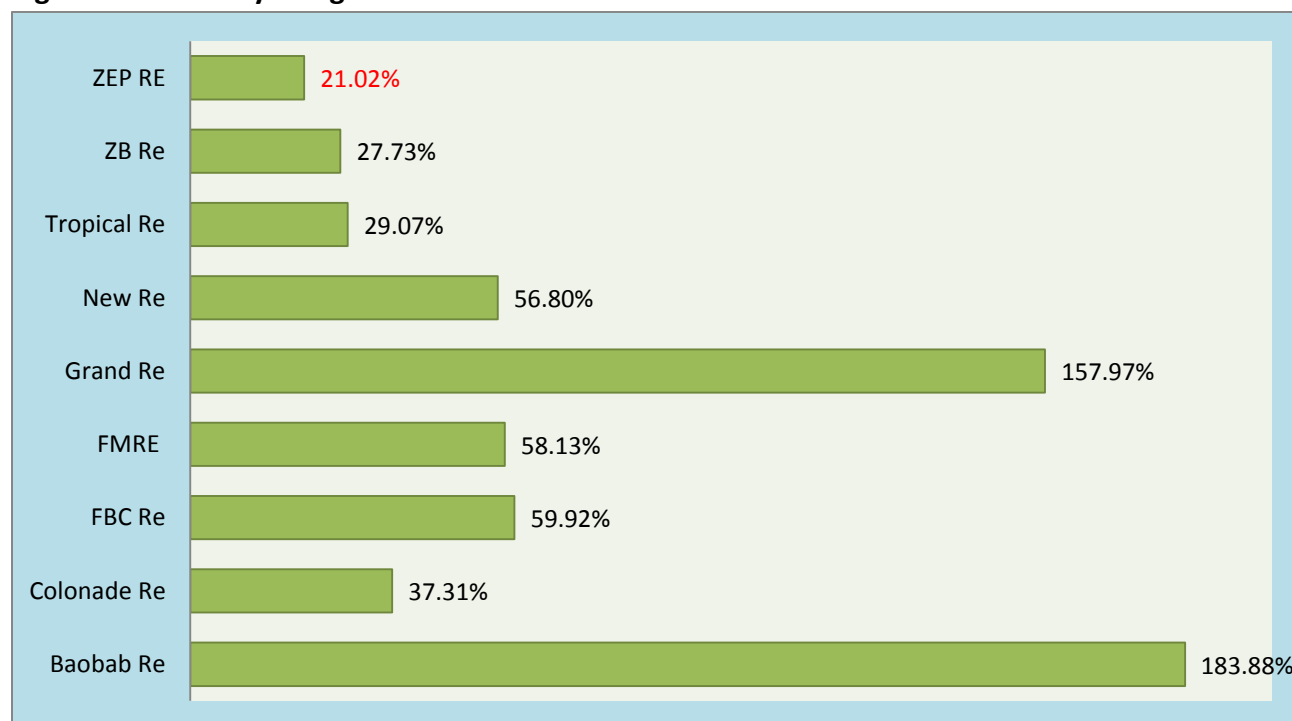
*The local operations of ZEP Re are also supported by the institution's overall statement of financial position which is based on the reinsurers' operations in all countries where it is represented. The capital position for the entity as at 31 December 2012 was \$79.69 million. The capital position shown above is based solely on the statement of financial position for local operations.

In line with their low capital levels compared to the regulatory minimum, Colonnade Reinsurance Company, New Reinsurance Company and PTA Reinsurance Company (Zep-Re), reported capital maintenance ratios of 94.28%, 73.47% and 87.01% respectively which were below 100% (see Appendix 2C for capital maintenance ratios in respect of all reinsurers). In the absence of any meaningful organic growth, these reinsurers should consider fresh capital injections to enable them to comply with the regulatory minimum. With the exception of the reinsurers mentioned above all operational reinsurers are set to comply with \$1.5 million effective 30 June 2014, unless they

experience capital erosion.

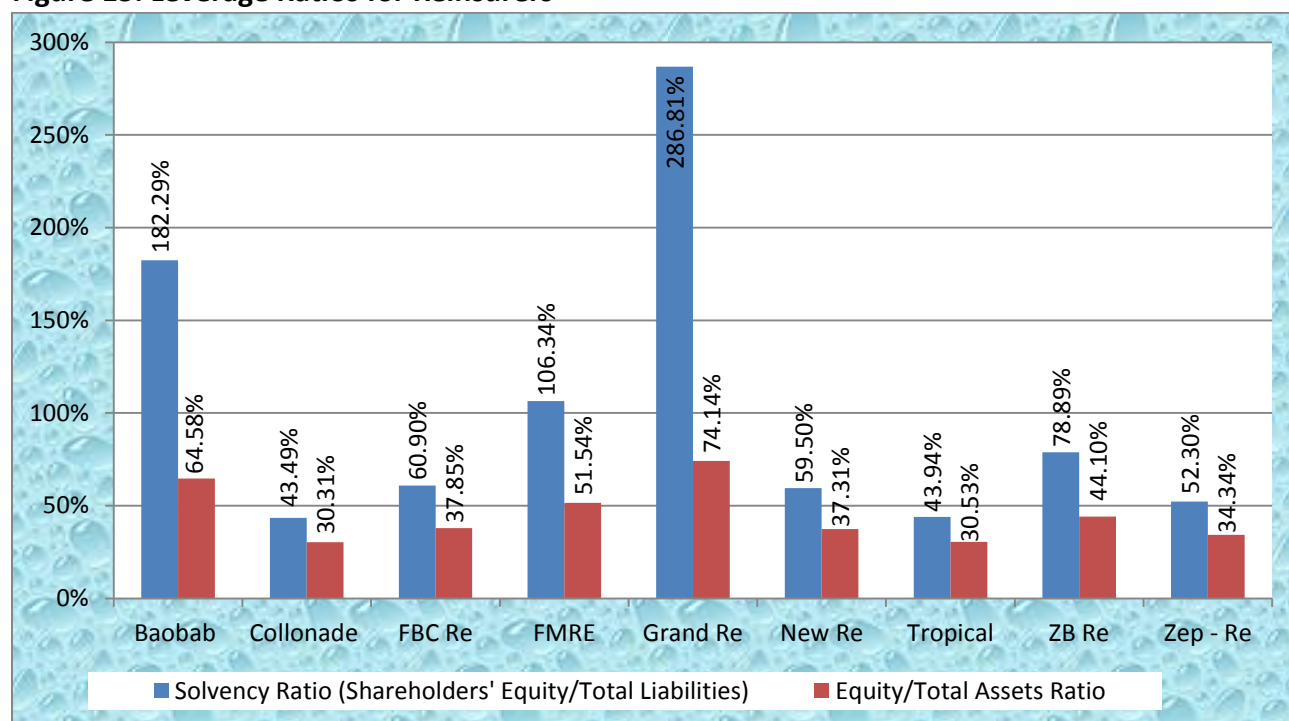
As at 31 December 2012 all operational reinsurers, except PTA Reinsurance Company (Zep-Re), were compliant with the minimum solvency margin of 25% stipulated in *section 24(1a) (ii)* of the *Insurance Act [Chapter 24:07]*. The average solvency margin for the short term reinsurers was 84.05% as at 31 December 2012, indicating deterioration from 111.62% reported as at 30 September 2012.

Figure 12: Solvency Margin for Reinsurers



Compared to other reinsurers Colonnade Reinsurance Company, Tropical Reinsurance Company and Zep Re had more of their total assets funded by liabilities as shown by the low solvency ratios and the leverage ratio (equity to assets) shown in Figure 13 below. Such a situation may not be desirable since it may negatively affect the confidence in the said institutions.

Figure 13: Leverage Ratios for Reinsurers



2.4. Asset Quality

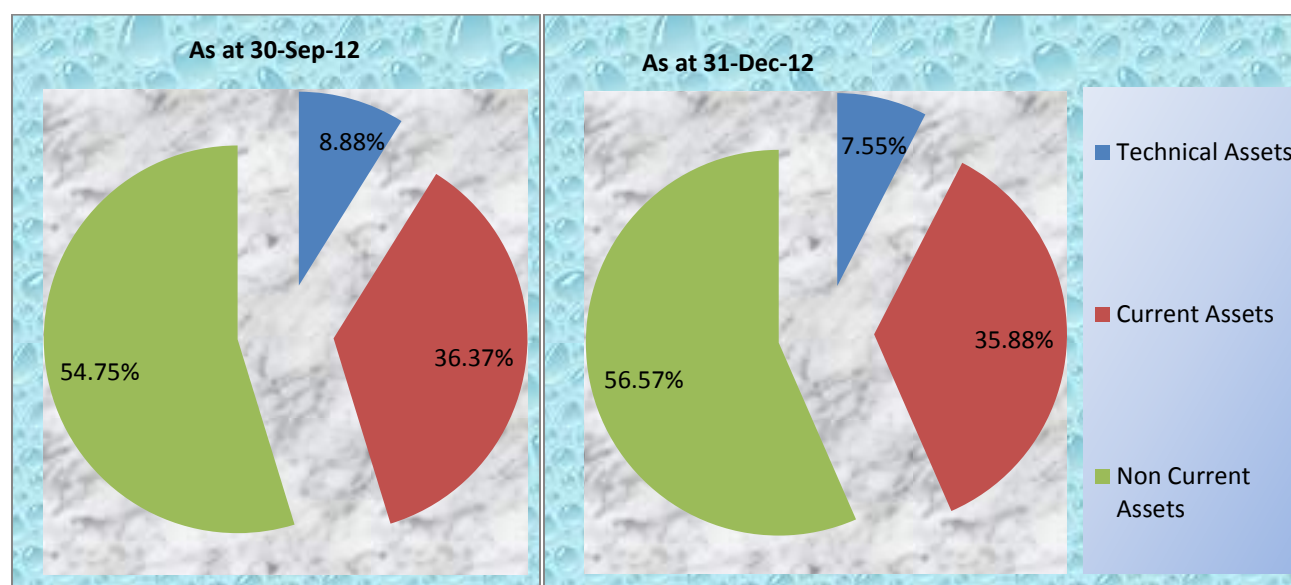
The short term reinsurers' combine statement of financial position shrunk as reflected by the decrease in total assets from \$108.21 million as at 30 September 2012 to \$106.95 as at 31 December 2012. The decrease in total assets was mainly attributable to the reduction of technical assets such as reinsurers' shares of outstanding claims.

Table 7: Breakdown of Total Assets (\$'000)

Component	31-Dec-2011	30-Sep-12	31-Dec-2012
Technical Assets	6,661	9,609	8,080
Current Assets	28,109	39,358	38,375
Non-Current Assets	56,286	59,241	60,499
Total Assets	93,056	108,208	106,953

There were no significant changes in the distribution of assets as shown in Figure 14 below. The largest proportion of total assets remained attributable to non-current assets and increased from 54.75% as at 30 September 2012 to 56.57% as at 31 December 2012.

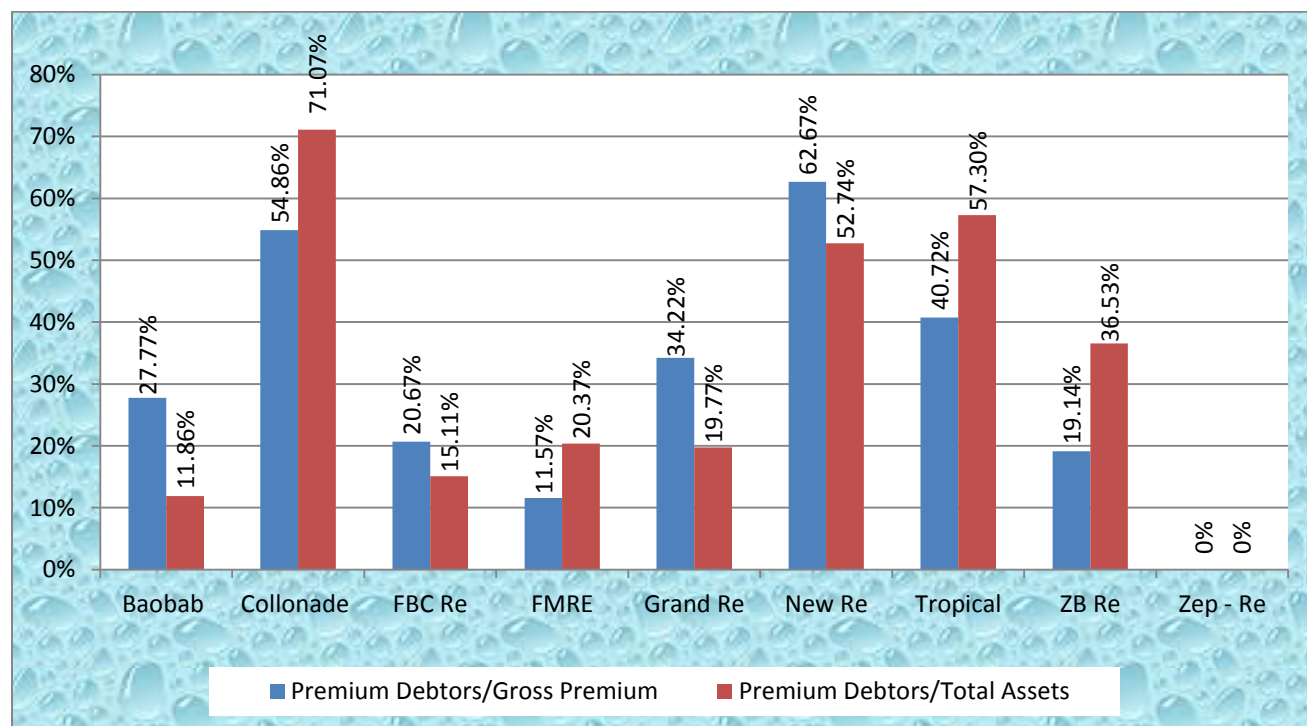
Figure 14: Composition of Total Assets for Reinsurers



The quality of assets for Colonnade Reinsurance Company, Tropical Reinsurance Company and New Reinsurance Company was compromised by high non-profitable assets to total assets ratios of 92.45%, 73.73% and 66.42% respectively. These ratios were significantly above the industry average of 37.27% as at 31 December 2012. This implies that the said reinsurers are not fully exploiting the potential of their statement of financial position in terms of investment income since part of their potential investable income cannot be earned due to assets tied in premium debtors.

In addition, the three reinsurers mentioned above recorded the highest ratios of premium debtors to GPW as well as premium debtors to total assets as shown in the diagram below. Such a position further compromises the reinsurers' asset quality and raises doubts on the availability of the same organizations' reported capital to meet claims timeously should the need arise.

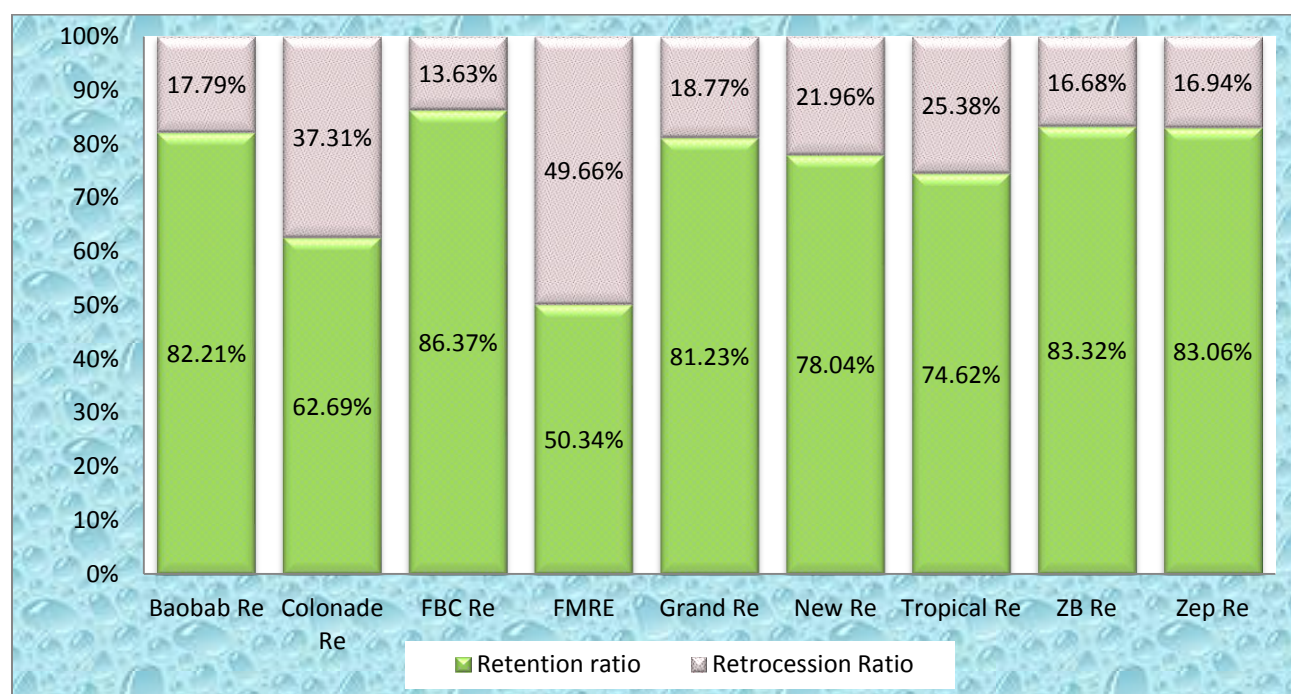
Figure 15: Premium Debtors to GPW and Premium Debtors to Assets Ratios



2.5. Retrocession

The average net retention ratio reported by the reinsurers increased from 68.37% reported as at 31 December 2011 to 75.38% as at 31 December 2012 reflecting an increase reliance on the reinsurers' own statements of financial position. As shown in Figure 16 below, the net retention ratios for individual insurers ranged from 50.34% to 86.37% and the range was considered healthy. If the net retention ratio is too low it may imply that the reinsurer has traded underwriting risk with counterparty credit risk. On the other hand a very high net retention ratio may imply heightened exposure to underwriting risk.

Figure 16: Net Retention Ratios for Reinsurers

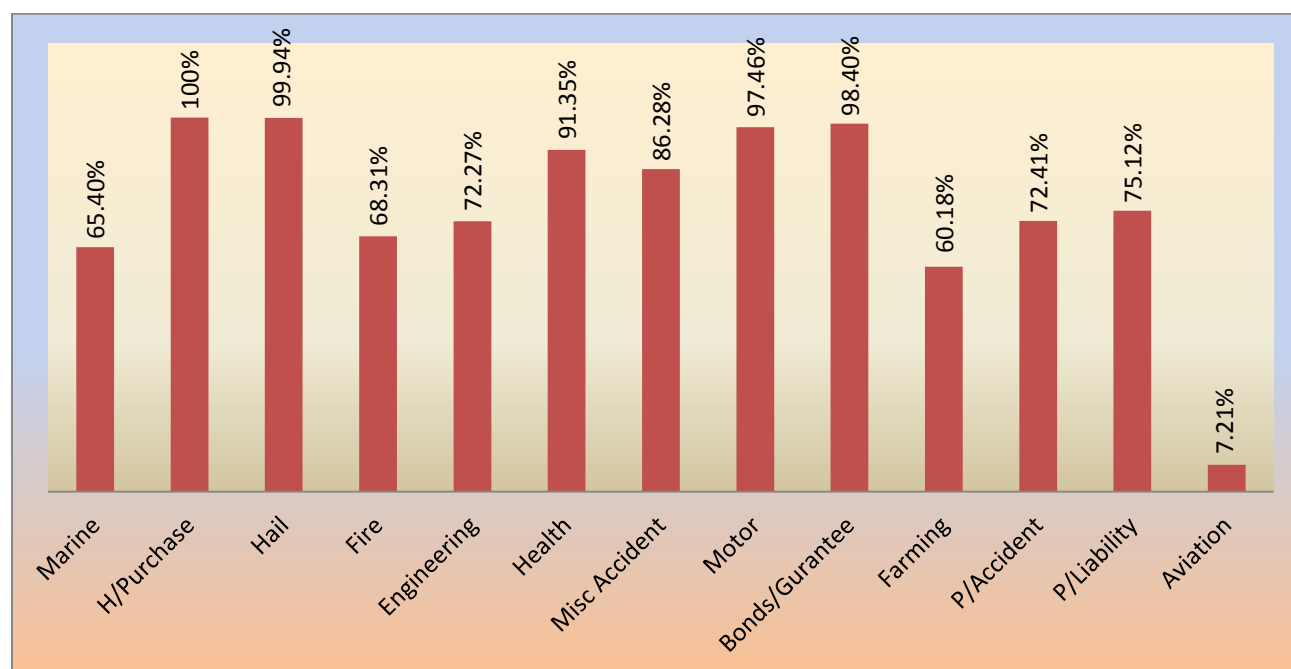


The industry average retrocession creditors to retrocession premium was 62.36% for the year ended 31 December 2012. An analysis of the financial statements submitted indicated that most of the reinsurers' premium remittances to retrocessionaires were not up to date. Baobab Reinsurance Company and New Reinsurance Company had the highest ratios of retrocession creditors to retrocession premium of 200.29% and 124.18% respectively. This may compromise the enforceability of the retrocession arrangements if there are no credit terms agreed between the above mentioned reinsurers and their retrocessionaires. More so given that the ratios are in excess of 100% which may imply that the reinsurers have retrocession premium arrears dating back to the year ended 31 December 2011 and/or earlier.

Of all the reinsurers, FBC Reinsurance Company reported the highest ratio of retrocession recoverables to capital of 63.40% implying that in the worst event of its retrocessionaires defaulting, the institution will have 63.40% of its capital wiped out.

Out of all the business classes, aviation recorded the lowest net retention ratio of 7.21% as shown in Figure 17 below. This is attributable to lack of capacity to provide cover in aviation by local reinsurers. Figure 17 below shows the net retention ratios for different classes of business for the year ended 31 December 2012.

Figure 17: Reinsurers' Net Retention Ratios by Class of Insurance Business



2.6. Actuarial Liabilities

As was the case with some direct short term insurers, some reinsurers did not provide for reserves in respect of incurred but not reported (IBNR) claims as at 31 December 2012 contrary to the requirements of *section 25(2) of the Insurance Act [Chapter 24:07]* (see Appendix 2B and 2C for more details. This results in understatement of liabilities and thus overstated capital positions. In view of the foregoing, the ratios of technical reserves to capital and outstanding claims plus IBNR to capital were biased hence no meaningful analysis or comparison could be made. Reinsurers should seriously consider putting in place adequate reserves in line with international best practice.

2.7. Earnings

Total profit for the reinsurers decreased from \$11.99 million for the year ended 31 December 2011 to \$0.66 million for the year ended 31 December 2012. The decrease in total profit for the reinsurers was mainly attributable to the loss making position of Baobab Reinsurance Company, especially given the large size of its book compared to other reinsurers. The major cost driver for Baobab Reinsurance Company was operating expenses which amounted to \$8.47 million and translated into a net expense ratio of 54.86%. Apart from Baobab Reinsurance Company all the reinsurers reported positive profit after tax positions. In line with the decrease in the total profit

for reinsurers, the industry average return on assets (ROA) and return on equity (ROE) ratios deteriorated from 12.88% and 21.05% reported for the year ended 31 December 2011 to 0.62% and 1.14% for the year ended 31 December 2012 respectively.

The total underwriting margin for reinsurers amounted to negative \$0.75 million for the year ended 31 December 2012. Baobab Reinsurance Company and FMRE Property and Casualty which had the largest market shares in gross premium reported negative underwriting margins. The underwriting losses recorded are further reflected in the combined ratio of 101.13% for the period under review.

2.8. Liquidity

The total working capital (excess of current assets over liabilities) for the reinsurers amounted to \$10.49 million as at 31 December 2012. FBC Reinsurance Company reported a current ratio of 92.56% during the period under review which was significantly below the benchmark of 100% as well as the industry average of 137.63%.

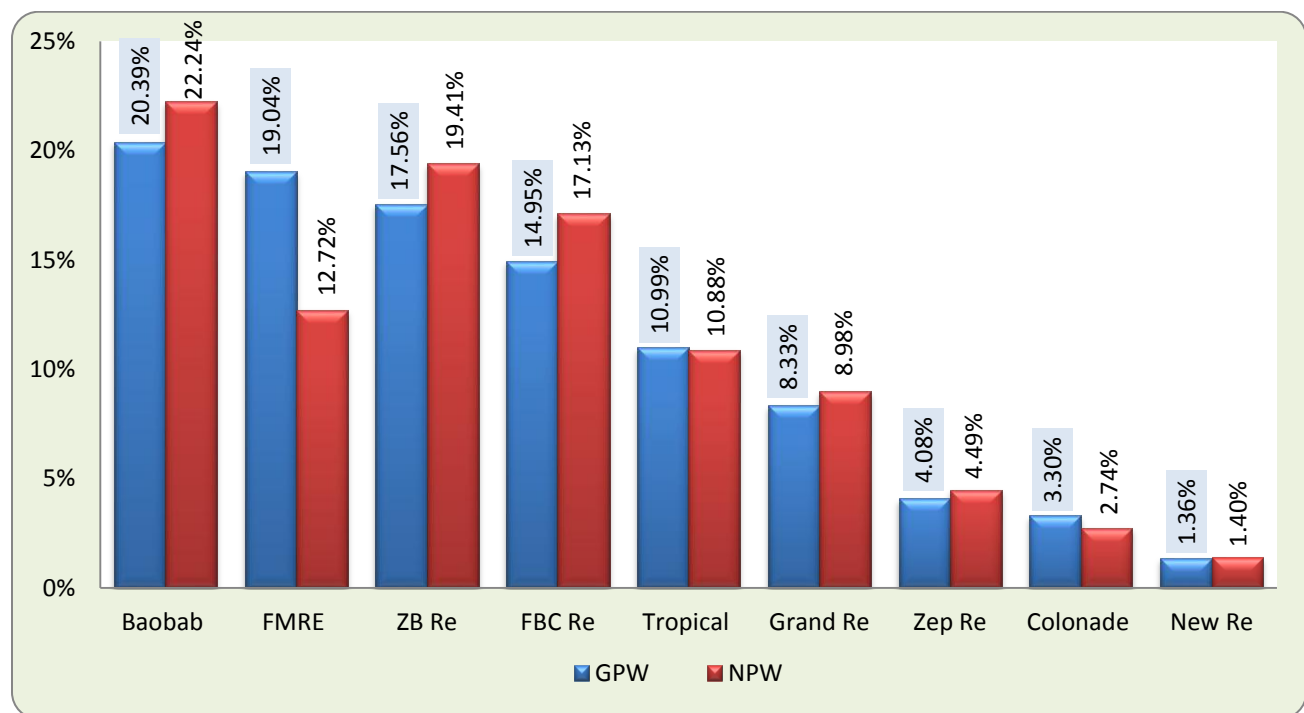
FMRE Property and Casualty, Grand Reinsurance Company and New Reinsurance Company reported the lowest acid test ratios of 20.25%, 24.11% and 25.09% respectively during the period under review. This means that with the exception of the premiums receivable, the said reinsurers' all other current assets will fall far short of their current liabilities compared to those of their peers.

2.9. Market Share for Reinsurers

The top three reinsurers in terms of gross premium written remained Baobab Reinsurance Company, FMRE Property and Casualty and ZB Reinsurance Company with a combined market share of 56.99% for the year ended 31 December 2012. However, in terms of net premium written, Baobab Reinsurance Company, ZB Reinsurance Company and FBC Reinsurance were the top three reinsurers as shown in Figure 18 below. This shows that FMRE Property and Casualty ceded more premium to retrocessionaires compared to its peers which implies a lower risk appetite.

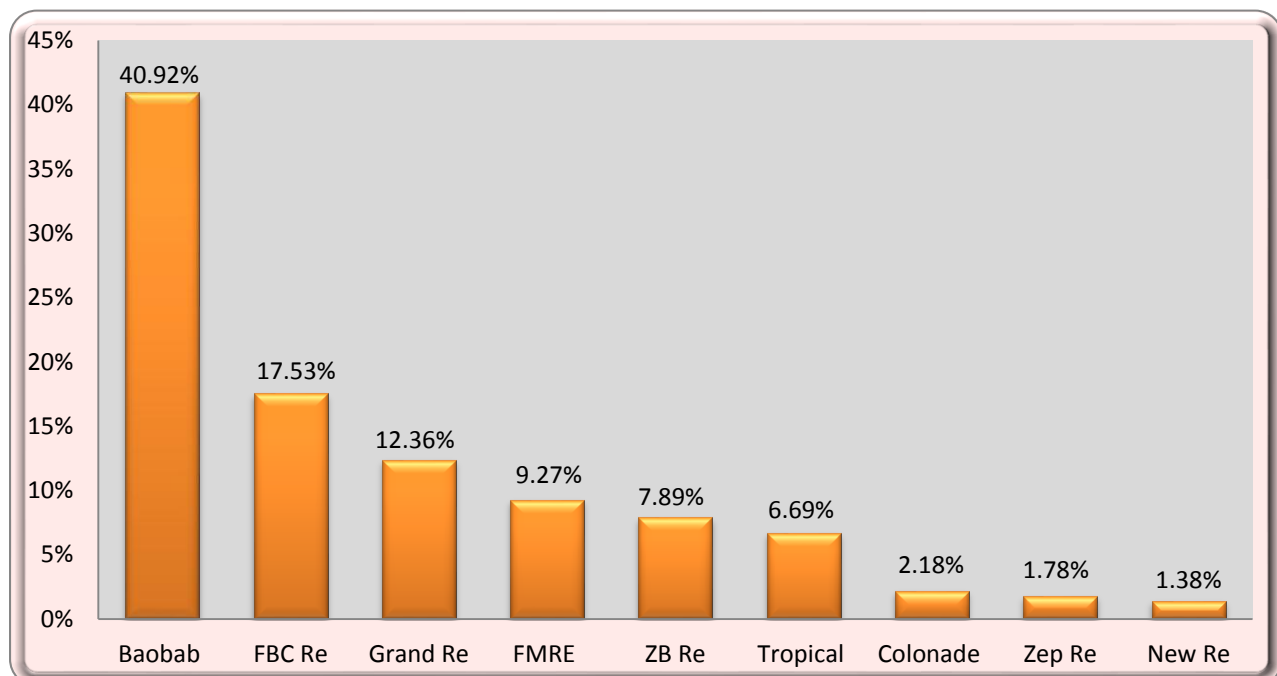
The reinsurers recorded Herfindahl indices of 0.15 and 0.16 in terms of gross premium written and net premium written during the year ended 31 December 2012 respectively. This implies that the market remained moderately concentrated.

Figure 18: Market Share for Reinsurers in Terms of GPW/NPW



In terms of total assets, Baobab Reinsurance Company, FBC Reinsurance Company and Grand Reinsurance Company remained the top three reinsurers with a combined market share of 70.81% as shown in Figure 19 below.

Figure 19: Market Share for Reinsurers in Terms of Assets



SECTION C

3. INSURANCE BROKERS

3.1 Update on Number of Insurance Brokers

As at 31 December 2012, there were thirty (30) registered and operational insurance brokers, the same number reported as at 30 September 2012. The Commission directed Aon Zimbabwe (Private) Limited and its subsidiaries namely Aon Risk Service, Aon Consulting and Aon Benfield to stop writing new business with effect from 7 January 2013 pending regularization of their operational status. The institutions were given a grace period of up to 31 March 2013 to regularize their operational status, failure of which the Commission will direct them to transfer all their business to other registered entities and exit the insurance and pensions industry. Engagements with the organization are still ongoing.

3.2 Business Written

The total gross premium written by insurance brokers for the year ended 31 December 2012 amounted to \$112.06 million. There were no statistics compiled for the year ended 31 December 2011 hence no meaningful trend in the business volume could be established. Suffice to say, total gross premium written by the insurance brokers for the nine months ended 31 September 2011 amounted to \$32.55 million. A comparison of the gross premium of \$112.06 million written by brokers with that of \$194.00 million written by insurers indicate that the business written through brokers is above half that written by insurers directly.

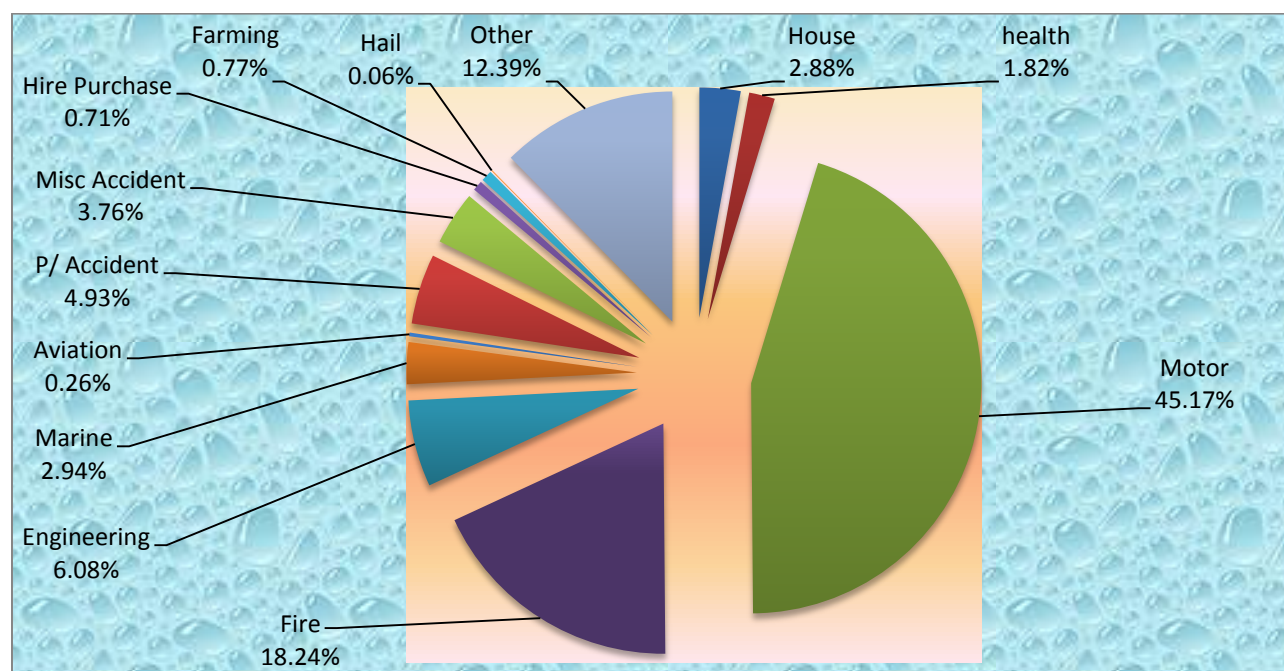
Table 8: Business Written by Brokers (\$000)

Indicator	Year Ended 31 December 2012
Gross Premium Written	112,061
Gross Premium Payable	97,180
Brokerage Commission	14,881
Commission Paid	359
Net Brokerage Income	14,521

3.3 Distribution of Gross Premium Written by Business Class

Motor and fire insurance continued to be the major sources of business contributing 45.17% and 18.24% of total gross premium written respectively. Figure 20 below shows the distribution of business by business class.

Figure 20: Distribution of Insurance Brokers' Gross Premium Written by Business Class



3.4 Earnings for Insurance Brokers

Total profit after tax for the insurance brokers amounted to \$2.05 million for the year ended 31 December 2012. Although total profits for insurance brokers were positive, five insurance brokers namely Paul Mkondo Insurance Brokers, Matden Reinsurance Brokers, Insuraserive Insurance Brokers, Hunt Adams Insurance Brokers, and Care Insurance Brokers reported losses during the period under review. The industry's average return on equity (ROE) and return on assets (ROA) for the insurance brokers for the period under review was 22.44% and 6.13% respectively.

3.5 Capitalization

In terms of Statutory Instrument (SI) 21 of 2013, all insurance brokers are required to maintain unencumbered investment in approved securities of not less than \$100,000. The same SI stipulates that insurance brokers are also required to effect and maintain professional indemnity with a limit of liability not less than \$200,000 while reinsurance brokers are required to effect and maintain professional indemnity with a limit of liability not less than \$250,000. In both cases the limit of liability on the professional indemnity should be that stipulated in the foregoing sentences or 50% of net brokerage income, whichever is greater.

The median capital position reported by the brokers as at 31 December 2012 amounted to

\$167,000. Hunt Adams Insurance Brokers, Matden Reinsurance Brokers, Insuraserve Insurance Brokers, TIB and Goldstick Insurance Brokers reported the lowest capital levels of negative \$124,000, \$11,000 and \$48,000 \$58,000 and \$72,000 respectively and the reported capital levels were below \$100,000 as shown in Table 9 below. This implies that even if the said insurance brokers could have complied with minimum prescribed securities requirement of \$100,000, their liabilities have adversely affected the strength of their statements of financial position. The Commission will engage the brokers with low capital levels with a view to having them regularize the same. Capital levels for respective insurance brokers are shown in Table 7 below.

Table 9: Levels of Capitalization for Insurance Brokers (\$ 000)

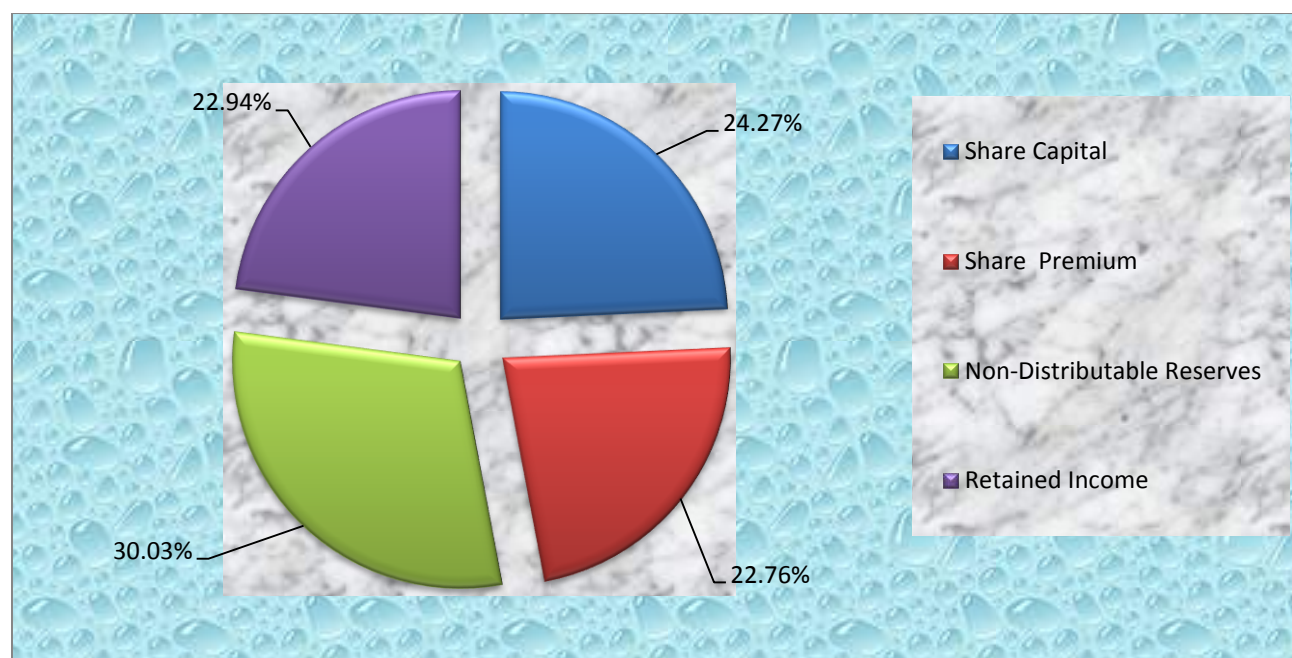
Broker	As at 30 Sep 12	As at 31 Dec 2012
Ambassador Insurance Brokers	Not Submitted	353
Alexander Forbes Risk Services Zimbabwe (Private) Limited	381	146
Amour Khan Insurance Brokers (Private) Limited	161	136
Aon Zimbabwe (Private) Limited*	2,966	2,493
Auto & General Insurance Brokers (Private) Limited	432	434
Broksure Insurance Brokers (Private) Limited	102	104
Capitol Insurance Brokers (Private) Limited	431	380
Care Insurance Brokers (Private) Limited	144	129
Eaton & Youngs (Private) Limited	346	370
Eureka Insurance Brokers (Private) Limited	185	281
Glenrand MIB (Zimbabwe) (Private) Limited	641	517
Goldstick Insurance Brokers	74	72
HRIB (Private) Limited	154	198
Hunt Adams & Associates (Private) Limited	-86	-124
Insuraserve (Private) Limited	59	48
L. A. Guard Insurance Brokers (Private) Limited	113	108
Marsh Insurance Brokers (Zimbabwe) (Private) Limited	876	616
Matden Reinsurance Brokers (Private) Limited	10	11
Momentum Insurance Brokers (Private) Limited	422	518

Broker	As at 30 Sep 12	As at 31 Dec 2012
Navistar Insurance Brokers (Private) Limited	132	220
Pan African Reinsurance Brokers (Private) Limited	93	136
Paul Mkondo Insurance Brokers (Private) Limited	175	155
Perpro Insurance Brokers (Private) Limited	106	115
Progressive Insurance Brokers (Private) Limited	320	387
Rainbow Insurance Brokers	Not Submitted	400
Reinsurance Brokers International (RBI)	Not Submitted	100
SATIB Insurance Brokers	189	179
TIB Insurance Brokers	88	58
Victory Insurance Brokers (Private) Limited	336	348
Zimbabwe Insurance Brokers Limited	265	256

*The entity conducts direct short term insurance broking, reinsurance broking and pensions administration

The capital base for all insurance brokers was skewed towards non-distributable reserves which contributed 30.03% of the capital base followed by issued share capital which attributed for 24.27% of the total capital base as at 31 December 2012. The breakdown of the capital base is shown in Figure 21 below.

Figure 21: Breakdown of the Total Capital Base for Insurance Brokers

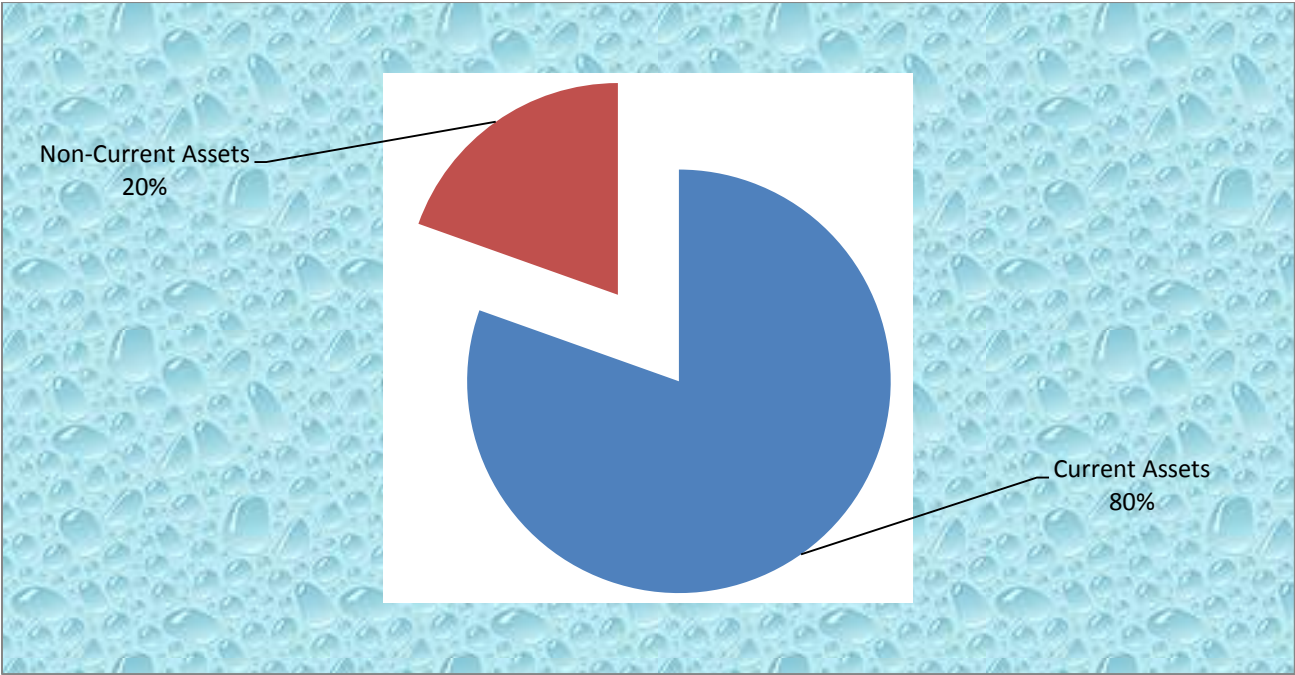


The insurance brokers reported an average equity to assets ratio of 27.32% reflecting that the brokers are highly leveraged. Total premiums not yet remitted to insurers amounted to \$20.15 million as at 31 December 2012 which accounted for 17.98% of all the premiums written by brokers. This shows a vast improvement in premium remittances to insurers given that the same ratio was 72.18% as at 30 September 2012. LA Guard Insurance Brokers, Armour Khan Insurance Brokers, and Reinsurance Brokers International reported the highest ratios of premium payable to gross premium written of 84.29%, 82.50%, and 54.83%. Such insurance brokers may end up exposing insurers since they may be obliged to meet claims for risks whose premiums they will not have received. In addition, this may also compromise the service offered by the insurers to their policyholders. The Commission deplores failure by brokers to remit premiums to insurers timeously, especially where there is no credit arrangements put in place. There is a risk that the insurance brokers who fail to remit premiums timeously may end up converting the premiums to their own use and then request to reverse the policies with the insurers. The Commission will continue to monitor such cases and necessary action will be taken should any broker be found guilty.

3.6 Asset Quality

Insurance brokers reported total assets of \$33.47 million as at 31 December 2012 which was marginally below \$33.60 million that was reported as at 30 September 2012. The total assets were largely skewed towards current assets as shown in Figure 22 below. The current assets were mainly made up of, commission receivable, and cash & cash equivalents which amounted to \$14.52 million and \$6.87 million and contributed 43.38% and 20.53% of total assets respectively. This could be a sign that insurers are not paying commission to brokers in time for the business they will have been given.

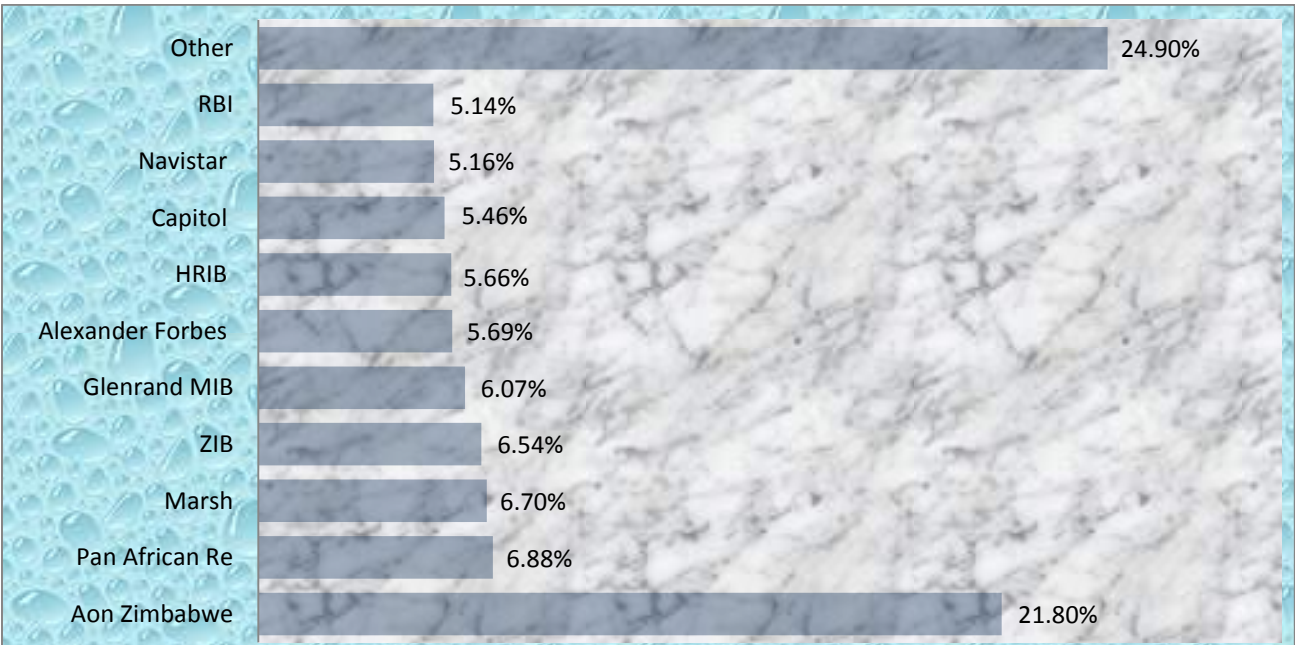
Figure 22: Breakdown of Insurance Brokers' Total Assets as at 30 December 2012



3.7 Market Share for Insurance Brokers

As shown in the diagram below, Aon Zimbabwe (Private) Limited, and Pan Africa Reinsurance Brokers and Marsh Insurance Brokers were the market leaders with a combined market share of 35.38%.

Figure 23: Market Share for Insurance Brokers in Terms of Premium Written



SECTION D

4 APPENDICES

Explanation of the Ratios

Indicator	Formula	Comment
Capital Adequacy Indicators		
Shareholders' Equity (Capital Base)	Total adjusted assets less total Liabilities	The total assets should be net of non-admissible assets.
Equity to Total Asset Ratio	$\text{Equity} \div \text{Total Adjusted Asset} \times 100$	The ratios shows the how much of assets are financed by shareholders' equity. A lower or declining ratio is an indication that the insurer is depending on external funding and may lead to solvency problems in the future.
Capital Maintenance Ratio (CMR)	$\text{Capital} \div \text{Regulatory Required Capital} \times 100$	This ratio measures the adequacy of capital in terms of minimum capital.
Solvency Ratio	$\text{Capital} \div \text{Liabilities} \times 100$	- This ratio indicates whether the insurer has adequate capital in relation to its liabilities. A declining ratio should be considered as red flag. - A negative solvency ratio indicative that the insurer is insolvent and should immediately required to stop writing new business and directed to come up come with acceptable recapitalization plan.
Solvency Margin	$\text{Capital} \div \text{Net Premium} \times 100$	- This ratio indicates the level of capital available for every dollar of net premium written by an insurer. - The current regulatory minimum solvency margin is 25% implying that for every dollar of net premium written there must be 25 cents of shareholders' equity. The Commission intends to increase the minimum regulatory ratio to at least 50%.
Asset Quality Indicators		
Total Assets	As per statement financial position	The growth in total assets need be compared with the growth in business and with peer figures
Investments to Total Assets	$\text{Financial Investments} \div \text{Total Assets} \times 100$	This ratio indicates the proportion of financial investment to total assets. Financial investments include Government Bonds, Securities issued by the Central Bank, investments with financial institutions e.g. banks, assets managers, investments non-financial institutions, quoted and unquoted shares (equities), properties not owner-occupied.
Non-Profitable Assets to Total Assets	$(\text{Fixed Assets} + \text{Total Debtors}) \div \text{Total Assets} \times 100$	Fixed Assets to include tangible and non-tangible assets e.g. goodwill and IT software and owner occupied properties.
Investment in Property (Real Estate) to Total Assets	$\text{Investment in Immovable Assets not owner occupied} \div \text{Total Assets} \times 100$	
Debtors to Gross Written Premium (GPW)	$\text{Debtors} \div \text{Gross Premium} \times 100$	It is a measure of the percentage of debtors to GPW. A high percentage or increasing ratio is an indication of the business done on credit and the age analysis of debtors should be closely scrutinized as the older date may not be recoverable.

Indicator	Formula	Comment
Reinsurance Key Indicators		
Risk Retention Ratio	$\text{Net Premium} \div \text{Gross Premium} \times 100$	This ratio measures of the proportion risk which an insurer on average carries its books after reinsurance. It indicates out a dollar of premium how much remains with the insurer after paying the reinsurance premium. In general a very low retention ratio may be an indication of improper use of reinsurance for other purposes which can be financial rather insurance risk transfer. Conversely a high retention ratio may in general be reflective of inadequate capacity
Claims Receivable from reinsurers to Gross Claims	$\text{Claims Receivable from Reinsurers} \div \text{Gross Claims} \times 100$	This ratio shows how effective the reinsurance programme is. The higher the ratio the better. This ratio need be examined in conjunction with retention ratio.
Actuarial Liabilities Indicators		
Technical Reserves to Capital	$\text{Technical reserves} \div \text{Capital}$	The ratio is used to determine whether a non-life company has adequate capital base to support possible adverse. The lower the ratio the better
$(\text{Outstanding Claims plus IBNR})/\text{Capital}$	$(\text{Outstanding Claims plus IBNR}) \div \text{Capital}$	Ratio indicates what extent owner's equity can cover liabilities in respect to outstanding claims and IBNR. The lower the ratio the better.
Earnings Indicators		
Net income before Tax	From Statement of Comprehensive Income	This a measure of the profit generated by a regulated entity over the period
Return on Equity	$\text{Net Profit} \div \text{Shareholders' Equity} \times 100$	ROE measures the rate of return on the shareholders' equity . It measures a firm's efficiency at generating profits from every unit of shareholders' equity (also known as net assets or assets minus liabilities). ROE shows how well a company uses funds invested by shareholders to generate earnings for growth.
Return on Assets	$\text{Net Profit} \div \text{Total Assets} \times 100$	The ratio measures the profitability per dollar of an asset.
Loss Ratio also referred claims ratio	$\text{Net Claims} \div \text{Net Premium} \times 100$	This ratio measures the company's underlying profitability, or loss experience, on its total book of business
Expense Ratio	$\text{Expenses} \div \text{Net premium} \times 100$	The ratio of underwriting expenses (including commissions) to net premiums written. This ratio measures the company's operational efficiency in underwriting its book of business.
Combined Ratio	$\text{Loss Ratio} + \text{Expense ratio} \times 100$	The sum of the loss, expense and policyholder dividend ratios not reflecting investment income or income taxes. This ratio measures the company's overall underwriting profitability, and a combined ratio of less than 100 indicates an underwriting profit.
Investment Income Ratio	$\text{Investment Income} \div \text{Net premium}$	This percentage measure of investment income to premium. How is investment as compared to premium generated by an insurer.

Indicator	Formula	Comment
Liquidity Ratios		
Working Capital	Current Assets minus Current Liabilities x 100	The value by which current assets exceed current liabilities.
Current Ratio	Current assets ÷ Current Liabilities x 100	This indicator compares current assets and current liabilities to determine the ability of an entity to pay current liabilities from current assets.
Acid Test ratio	(Current assets less Outstanding Premium) ÷ Current Liabilities	This is a more stringent measure of liquidity as compared to the current ratio. The liability profile of an entity is of importance in considering the level of liquidity ratios.

						Appendix 1A: Statements of Comprehensive Income for Short Term Insurers US\$('000)																			
	Alliance	Allied	Altfin	CBZ	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	KMFS	Nicoz	Quality	Regal	RM	Sanctuary	SFG	Tetrad Hail	Tristar	Zimnat	Total
GPW	29,184	1,729	9,157	7,616	19,259	5,866	2,820	5,478	12,538	3,730	626	5,214	1,978	9,355	1,398	22,721	1,710	955	22,700	201	1,387	5,371	8,987	14,018	193,998
Reinsurance	14,609	951	3,267	4,765	11,630	2,306	215	2,948	6,782	1,945	156	3,840	1,029	4,400	222	10,067	216	157	7,891	89	631	3,594	4,353	8,022	94,086
NPW	14,575	778	5,890	2,852	7,629	3,560	2,604	2,530	5,756	1,784	469	1,374	949	4,955	1,176	12,654	1,494	798	14,809	112	756	1,777	4,634	5,997	99,912
Unearned Premium	529	(578)	(134)	110	799	409	698	222	254	149	(11)	182	314	224	73	(91)	172	25	664	(12)	(359)	1,455	398	222	5,713
NEP	14,046	1,356	6,024	2,742	6,830	3,151	1,906	2,308	5,502	1,636	481	1,191	635	4,731	1,103	12,745	1,322	772	14,145	124	1,115	322	4,236	5,775	94,199
Net Incurred Claims	8,462	411	3,114	1,240	2,748	714	703	583	2,301	839	161	546	195	2,031	422	6,439	396	299	6,102	41	2,251	82	1,773	2,103	43,955
Net Commission Incurred	1,534	1	155	(267)	(149)	342	122	(308)	349	226	70	36	39	169	27	1,252	265	-	1,458	15	96	(1,023)	257	(392)	4,274
Technical Result	4,050	945	2,755	1,768	4,231	2,095	1,081	2,033	2,852	571	250	609	402	2,531	654	5,054	661	474	6,586	68	(1,233)	1,263	2,206	4,064	45,970
Operating Expenses	3,098	877	2,670	1,527	2,408	1,626	1,349	1,990	2,178	411	190	527	446	2,299	943	4,798	560	862	4,350	217	1,362	277	2,673	3,207	40,848
Underwriting Result	952	68	85	241	1,823	469	(268)	43	674	160	60	82	(44)	232	(288)	256	101	(389)	2,235	(149)	(2,595)	986	(468)	856	5,123
Investment																									
Investment Income	300	17	211	143	183	26	294	60	28	12	-	62	1	209	20	310	37	7	635	31	-	34	126	65	2,810
Unrealised Gains/Losses	5	-	16	(10)	4	(56)	-	(13)	11	263	-	(2)	(477)	(67)	-	516	154	-	189	136	101	-	(327)	-	442
Other Income	85	370	(13)	-	543	356	4	-	87	-	-	-	0	40	250	-	-	-	(48)	-	19	50	52	(39)	1,757
Profit Before Tax	1,343	454	299	373	2,553	796	30	90	801	435	60	141	(520)	413	(18)	1,082	292	(382)	3,012	18	(2,475)	1,070	(617)	882	10,132
Taxation	346	-	32	111	657	219	8	9	214	28	-	2	(134)	74	-	183	11	-	658	-	98	275	(3)	87	2,874
Profit After Tax	997	454	267	263	1,896	577	22	81	587	407	60	140	(386)	339	(18)	899	281	(382)	2,354	18	(2,574)	794	(613)	795	7,257

	Appendix 1B: Statements of Financial Position for Short Term Insurers US\$'000																																												
	Alliance	Allied	Altfin	C.B.Z	Cell	Champions	Clarion	Credsurre	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	KMFS	Nicoz	Quality	Regal	RM	Sanctuary	SFG	Tetrad Hail	Tristar	Zimnat Lion	Total																				
ASSETS																																													
Non-Current Assets																																													
Fixed Assets	1,077	414	437	457	510	1,270	165	2,136	2,501	718	233	788	374	2,083	139	1,916	312	2,284	1,271	48	892	1,395	292	1,076	22,788																				
Investments	5,035	271	1,634	303	237	48	1,238	572	1,009	221	309	451	718	1,436	652	7,318	1,148	1	2,404	1,331	47	1,511	3,647	3,615	35,156																				
	6,112	685	2,071	760	747	1,318	1,403	2,708	3,511	939	541	1,239	1,091	3,519	791	9,234	1,460	2,285	3,675	1,379	939	2,906	3,939	4,690	57,944																				
Technical Assets																																													
Reinsurers' Share of O/S Claims	580	-	3,057	2,301	6,563	526	-	-	524	44	23	-	-	-	-	-	29	-	222	2	2,460	-	-	3,032	19,363																				
Unearned Commision Reserve	747	-	263	1,183	34	694	-	-	55	48	3	176	-	106	-	554	-	-	530	3	6	-	66	342	4,812																				
	1,328	-	3,320	3,485	6,597	1,220	-	-	579	92	26	176	-	106	-	554	29	-	752	5	2,467	-	66	3,374	24,175																				
Current Assets																																													
Premium Receivables	9,949	1,107	4,111	1,086	1,152	1,023	472	1,893	2,054	355	91	368	834	1,929	735	5,018	97	189	614	-	77	5,736	1,384	694	40,968																				
Other Debtors & Inventory	3,504	28	1,217	195	2,647	427	689	617	451	2	26	86	23	649	275	166	10	201	1,949	136	71	1,281	666	531	15,846																				
Cash & cash equivalents	305	111	97	1,175	2,667	102	92	77	57	496	11	12	61	76	37	1,695	60	85	6,149	26	3	222	42	708	14,366																				
	13,758	1,246	5,425	2,456	6,466	1,551	1,253	2,587	2,562	853	128	466	918	2,654	1,046	6,879	167	475	8,712	162	151	7,239	2,091	1,933	71,180																				
TOTAL ASSETS	21,198	1,932	10,816	6,700	13,810	4,089	2,656	5,295	6,652	1,884	696	1,881	2,009	6,279	1,838	16,667	1,656	2,761	13,139	1,546	3,557	10,145	6,097	9,997	153,299																				
LIABILITIES																																													
Deferred Tax Liabilities	-	-	121	-	-	57	38	515	49	83	32	13	-	35	-	187	-	28	-	-	149	99	127	36	1,568																				
Long Term loan	-	13	-	13	-	-	-	-	-	-	-	-	-	270	125	-	19	-	-	51	-	-	-	1,000	1,491																				
Current Tax provisions	346	4	7	165	-	172	9	278	(32)	37	96	-	31	120	59	(66)	56	30	192	2	212	345	147	(28)	2,182																				
Gross Outstanding Claims	2,082	109	4,018	1,723	-	179	-	-	828	-	85	185	48	1,090	465	1,788	120	64	-	-	-	89	1,055	2,395	16,323																				
IBNR	3,640	34	286	-	7,580	525	224	161	-	143	-	-	95	-	30	-	-	357	1,848	4	4,084	87	-	-	19,098																				
UPR	3,737	425	1,520	2,328	1,889	377	800	291	974	257	24	453	314	1,460	73	2,769	610	25	3,529	27	127	1,475	1,132	2,419	27,036																				
Reinsurance & Other Creditors	7,756	587	2,643	1,059	718	742	139	1,543	1,611	111	22	175	366	2,007	-	2,169	14	157	-	19	433	3,927	1,112	985	28,297																				
Other Creditors	-	10	454	206	-	118	-	-	951	136	25	45	32	40	82	1,172	27	82	842	187	565	1,092	401	48	6,513																				
TOTAL LIABILITIES	17,561	1,181	9,049	5,493	10,187	2,172	1,210	2,788	4,381	768	285	871	886	5,021	834	8,019	846	743	6,410	289	5,570	7,114	3,974	6,855	102,508																				
SHAREHOLDERS' EQUITY																																													
Share Capital	301	68	300	51	620	382	1,300	2	1	120	300	33	500	850	400	2,829	120	1,860	300	100	501	1,000	1	553	12,490																				
Share Premium	-	446	625	590	-	-	-	1,824	2,000	7	-	804	1,580	-	637	3,279	-	-	-	1,100	1,602	-	-	-	14,494																				
Revaluation & Other Reserves	1,141	-	422	-	-	810	111	167	937	-	184	134	-	30	-	-	49	265	1,583	-	298	782	3,680	1,260	11,854																				
Retained Profit	2,196	237	420	566	3,003	726	35	513	(667)	988	(73)	40	(957)	378	(34)	2,540	641	(108)	4,845	56	(4,413)	1,249	(1,558)	1,330	11,952																				
Shareholders's Equity	3,637	750	1,767	1,207	3,623	1,917	1,446	2,507	2,271	1,115	411	1,010	1,123	1,258	1,003	8,648	810	2,018	6,728	1,257	(2,013)	3,032	2,123	3,143	50,791																				
TOTAL EQUITY & LIABILITIES	21,198	1,932	10,816	6,700	13,810	4,089	2,656	5,295	6,652	1,884	696	1,881	2,009	6,279	1,838	16,667	1,656	2,761	13,139	1,546	3,557	10,145	6,097	9,997	153,299																				

Appendix 2A: Statements of Comprehensive Income for Short Term Reinsurers US\$ '000										
	Baobab	Collonade	FBC Re	FMRE	Grand Re	New Re	Tropical	ZB Re	Zep-Re	Total
Gross Written Premiums	18,698	3,023	13,709	17,457	7,640	1,243	10,075	16,098	3,738	91,681
Reinsurance Premiums	3,327	1,128	1,869	8,669	1,434	273	2,557	2,686	633	22,575
Net Written Premiums	15,371	1,895	11,840	8,788	6,206	970	7,518	13,413	3,105	69,106
Unearned Premium	(65)	403	923	263	270	130	(139)	6	509	2,301
Net Earned Premiums	15,436	1,492	10,917	8,525	5,936	840	7,657	13,407	2,596	66,805
Net Incurred Claims	6,804	248	3,780	3,835	2,665	90	3,381	7,254	1,635	29,692
Net Commission Incurred	4,383	376	3,418	1,902	1,621	243	1,735	3,429	864	17,970
Technical Result	4,249	868	3,719	2,788	1,650	507	2,541	2,725	97	19,143
Operating Expenses	8,468	553	2,835	2,795	1,200	339	1,505	2,112	90	19,897
Underwriting Result	(4,220)	315	883	(7)	450	168	1,035	613	7	(754)
Investment										
Investment Income	564	41	922	(2)	21	-	98	369	82	2,096
Unrealised Gains/Losses	(119)	-	153	-	-	(1)	-	-	-	33
Other Income	-	-	143	-	-	-	1	-	-	144
Profit Before Tax	(3,774)	356	2,101	(8)	471	167	1,135	982	89	1,519
Taxation	-	-	541	(266)	91	40	234	219	-	859
Profit After Tax	(3,774)	356	1,560	258	380	127	901	763	89	660

Appendix 2B: Statements of Financial Position for Short Term Reinsurers US\$'000

	Baobab	Collonade	FBC Re	FMRE	Grand Re	New Re	Tropical	ZB Re	Zep-Re	Total
ASSETS										
Non-Current Assets										
Fixed Assets	717	-	341	258	350	177	660	667	410	3,580
Investments	32,288	108	4,215	6,720	9,242	386	1,493	1,458	1,010	56,919
	33,005	108	4,557	6,978	9,591	563	2,153	2,125	1,420	60,499
Technical Assets										
Reinsurers' Share of Outstanding Claims	-	-	4,498	-	227	-	-	-	-	4,724
Provision for Unearned Commision Reserve	1,319	-	798	428	649	-	-	-	161	3,355
	1,319	-	5,296	428	876	-	-	-	161	8,080
Current Assets										
Premium Receivables	5,192	1,658	2,833	2,019	2,614	779	4,103	3,081	-	22,280
Other Debtors & Inventory	4,113	499	-	318	12	25	516	154	285	5,921
Cash & cash equivalents	140	69	6,059	169	130	110	388	3,074	35	10,173
	9,445	2,226	8,892	2,506	2,756	914	5,007	6,309	319	38,375
TOTAL ASSETS	43,769	2,333	18,745	9,912	13,223	1,477	7,160	8,434	1,900	106,953
LIABILITIES										
Deferred Tax Liabilities	296	-	(621)	(457)	113	-	-	406	-	(264)
Current Tax provisions	15	-	280	-	20	83	-	134	-	531
Long term loan	-	-	-	-	300	-	-	-	-	300
IBNR	3,224	-	-	1,216	1,003	-	1,084	1,577	-	8,106
Gross Outstanding Claims	-	99	6,638	-	-	116	-	346	739	7,937
UPR	3,518	403	2,665	1,643	1,414	388	1,061	1,242	509	12,842
Reinsurance & Other Creditors	6,664	-	1,186	2,387	319	339	2,174	1,009	-	14,077
Other Creditors	1,788	1,124	1,503	14	251	-	655	-	-	5,337
TOTAL LIABILITIES	15,505	1,626	11,650	4,804	3,419	926	4,974	4,714	1,248	48,867
SHAREHOLDERS' EQUITY										
Share Capital	400	5	600	1	400	400	0	5	563	2,374
Share Premium	23,972	548	2,203	3,934	-	-	410	495	-	31,562
Revaluation & Other Reserves	6,712	-	2,870	254	5,246	88	-	11	-	15,180
Retained Profit	(2,821)	154	1,421	920	4,159	63	1,776	3,209	89	8,970
Shareholders's Equity	28,264	707	7,095	5,108	9,804	551	2,186	3,719	653	58,087
TOTAL EQUITY & LIABILITIES	43,769	2,333	18,745	9,912	13,223	1,477	7,160	8,434	1,900	106,953

	Appendix 2C: Key Performance Indicators for Reinsurers									
	Baobab	Collonade	FBC Re	FMRE	Grand Re	New Re	Tropical	ZB Re	Zep - Re	Total/Average
Indicator										
Capital Adequacy										
Shareholders' Equity (Capital Base) (\$000)	28,264	707	7,095	5,108	9,804	551	2,186	3,719	653	6,454
Capital Maintenance Ratio (CMR)	3768.55%	94.28%	945.94%	681.11%	1307.20%	73.47%	291.43%	495.88%	87.01%	860.54%
Solvency Margin (Shareholders' Equity/NPW)	183.88%	37.31%	59.92%	58.13%	157.97%	56.80%	29.07%	27.73%	21.02%	84.05%
Solvency Ratio	182.29%	43.49%	60.90%	106.34%	286.75%	59.50%	43.94%	78.89%	52.30%	118.87%
Equity/Total Assets Ratio	64.58%	30.31%	37.85%	51.54%	74.14%	37.31%	30.53%	44.10%	34.34%	54.31%
Asset Quality										
Total Assets (\$000)	43,769	2,333	18,745	9,912	13,223	1,477	7,160	8,434	1,900	106,953
Investments to Assets	73.77%	4.61%	22.49%	67.80%	69.89%	26.13%	20.85%	17.29%	53.15%	53.22%
Non-Profitable Assets/Total Assets	25.91%	92.45%	45.19%	30.50%	29.13%	66.42%	73.73%	46.26%	45.03%	37.27%
Investment in Operating Assets/Total Assets	1.64%	0.00%	1.82%	2.61%	2.64%	11.98%	9.22%	7.91%	21.60%	3.35%
Premium Debtors/Gross Premium	27.77%	54.86%	20.67%	11.57%	34.22%	62.67%	40.72%	19.14%	0.00%	24.30%
Premium Debtors/Total Assets	11.86%	71.07%	15.11%	20.37%	19.77%	52.74%	57.30%	36.53%	0.00%	20.83%
Retrocession										
Risk Retention Ratio	82.21%	62.69%	86.37%	50.34%	81.23%	78.04%	74.62%	83.32%	83.06%	75.38%
Retrocession Creditors/Retrocession Premiums	200.29%	0.00%	63.46%	27.53%	22.22%	124.18%	85.01%	37.57%	0.00%	62.36%
Retrocession Recoverables/Total Assets	0.00%	0.00%	23.99%	0.00%	1.71%	0.00%	0.00%	0.00%	0.00%	4.42%
Retrocession Recoverables/Capital	0.00%	0.00%	63.40%	0.00%	2.31%	0.00%	0.00%	0.00%	0.00%	8.13%
Actuarial										
UPR (\$000)	3,518	403	2,665	1,643	1,414	388	1,061	1,242	509	12,842
IBNR (\$000)	3,224	-	-	1,216	1,003	-	1,084	1,577	-	8,106
Technical Reserves/Capital	12.45%	70.98%	131.12%	32.16%	14.42%	91.47%	48.55%	42.69%	191.21%	35.77%
(Outstanding Claims+IBNR)/Capital	11.41%	13.97%	93.56%	23.81%	10.23%	21.05%	49.59%	51.72%	113.20%	27.62%
Earnings										
Profit After Tax (\$000)	(3,774)	356	1,560	258	380	127	901	763	89	660
Return on Equity	-13.35%	50.37%	21.99%	5.06%	3.88%	23.05%	41.21%	20.51%	13.71%	1.14%
Return on Assets	-8.62%	15.26%	8.32%	2.61%	2.87%	8.60%	12.58%	9.04%	4.71%	0.62%
Loss Ratio	44.08%	16.64%	34.63%	44.98%	44.90%	10.71%	44.15%	54.10%	62.99%	44.45%
Net Commission Ratio	28.40%	25.18%	31.31%	22.31%	27.31%	28.93%	22.66%	25.57%	33.28%	26.90%
Net Expense Ratio	54.86%	37.06%	25.97%	32.78%	20.21%	40.36%	19.66%	15.75%	3.46%	29.78%
Combined Ratio	127.34%	78.88%	91.91%	100.08%	92.42%	80.00%	86.48%	95.43%	99.73%	101.13%
Underwriting Margin	-27.34%	21.12%	8.09%	-0.08%	7.58%	20.00%	13.52%	4.57%	0.27%	-1.13%
Investment Income/NPW Ratio	3.67%	2.16%	7.79%	-0.02%	0.34%	0.00%	1.31%	2.75%	2.65%	3.03%
Return on Invested Assets	1.77%	30.37%	9.86%	-0.02%	0.23%	0.00%	5.51%	8.85%	8.56%	3.23%
Liquidity										
Working Capital (\$000)	978	1,003	(715)	104	2,167	376	2,178	4,820	(419)	10,492
Current ratio	111.55%	181.99%	92.56%	104.34%	467.59%	169.89%	176.99%	423.73%	43.25%	137.63%
Acid Test ratio	50.23%	46.40%	63.07%	20.25%	24.09%	25.09%	31.97%	216.81%	43.25%	57.72%
Market Share										
Market Share Based on GPW	20.39%	3.30%	14.95%	19.04%	8.33%	1.36%	10.99%	17.56%	4.08%	100%
Market Share Based on NPW	22.24%	2.74%	17.13%	12.72%	8.98%	1.40%	10.88%	19.41%	4.49%	100%
Market Share Based on Total Assets	40.92%	2.18%	17.53%	9.27%	12.36%	1.38%	6.69%	7.89%	1.78%	100%

									APPENDIX 3A:Statement Of Comprehensive Income for Brokers US\$'000																													
	Alex Forbes	Ambassador	Armour Khan	Aon	Auto & General	Broksure	Capitol	Care	Eaton & Youngs	Eureka	Glenrand	Goldstick	HRIB	Hunt Adams	Insuraverse	L.A.Guard	Marsh	Matden	Momentum	Navistar	Pan African	P.Mkondo	Perpro	Progressive	Rainbow	RBI	SATIB	TIB	Victory	ZIB	Total							
GPW	6,367	83	175	24,397	216	409	6,109	1,639	5,135	2,451	6,789	208	6,331	5,712	1,735	530	7,496	590	1,557	5,770	7,699	79	483	3,188	138	5,749	2,824	480	406	7,316	112,061							
Gross Premium Payable	5,126	69	144	23,191	193	333	5,063	1,337	4,290	1,760	5,708	167	5,258	4,734	1,449	447	6,052	568	1,296	4,812	7,439	66	300	2,382	118	5,556	2,520	381	347	6,074	97,180							
Brokerage Commission	1,241	14	31	1,206	23	75	1,046	302	845	690	1,081	41	1,073	978	286	83	1,445	21	262	958	260	13	182	805	21	193	304	98	59	1,242	14,881							
less Commission paid	82	-	-	-	8	-	-	-	10	-	20	12	217	67	-	-	17	-	-	-	-	1	3	160	-	-	-	-	-	(236)	359							
Net Brokerage Commiss	1,159	14	31	1,206	15	75	1,046	302	835	690	1,061	29	857	911	286	83	1,428	21	262	958	260	13	179	646	21	193	304	98	59	1,478	14,522							
Other Income	54	1	-	-	18	-	21	5	93	8	58	22	-	48	43	25	45	14	67	18	20	110	45	326	-	37	-	6	18	(0)	1,103							
Admin Expenses	1,004	14	24	773	32	71	810	345	796	570	808	48	772	1,035	348	81	772	37	303	851	204	129	168	880	11	208	225	90	65	1,433	12,905							
Profit Before Tax	210	2	6	433	1	5	257	(39)	133	129	311	3	85	(76)	(19)	27	701	(2)	25	125	76	(7)	57	92	10	22	79	14	13	45	2,719							
Taxation	62	0	2	112	0	1	67	-	37	-	60	1	22	-	-	20	178	0	8	39	21	1	2	-	2	1	13	3	4	11	667							
Profit after Tax	148	1	4	322	1	4	190	(39)	96	129	251	2	63	(76)	(19)	8	523	(2)	18	86	55	(8)	55	92	7	21	66	12	9	34	2,052							

	APPENDIX 3B:STATEMENT OF FINANCIAL POSITION-US\$('000)																														
	Alex Forbes	Ambassador	Armour Khan	Aon	Auto & General	Broksure	Capitol	Care	Eaton & Youngs	Eureka	Glenrand	Goldstick	HRIB	Hunt Adams	Insuraserve	LA Guard	Marsh	Matden	Momentum	Navistar	Pan African	Paul Mkondo	Perpro	Progressive	Rainbow	RBI	SATIB	TIB	Victory	ZIB	Total
LIABILITIES																															
shareholder's Equity																															
Share Capital	500	146	32	33	310	20	116	77	93	50	50	0	1	1	0	100	5	0	100	65	1	20	40	120	40	200	0	50	0	50	2,220
Share Premium	474	0	0	577	87	68	0	37	0	0	0	0	0	0	0	0	0	10	0	0	65	126	0	0	322	0	0	0	315	0	2,082
Non-Distributable Reserves	200	0	100	973	35	12	0	0	195	28	58	70	21	47	0	0	412	0	90	13	0	18	20	100	31	21	100	16	0	189	2,747
Retained Income	(821)	0	4	910	1	4	265	15	82	203	409	2	177	(171)	48	8	198	1	328	143	70	(8)	55	167	7	(121)	79	(8)	33	18	2,098
shareholder's Equity	353	146	136	2,493	434	104	380	129	370	281	517	72	198	(124)	48	108	616	11	518	220	136	155	115	387	400	100	179	58	348	256	9,145
Current liabilities																															
Payable Premiums	762	3	144	9,813	0	66	130	0	0	48	1,131	2	463	872	467	447	728	7	257	49	759	17	0	561	0	3,153	18	162	5	81	20,146
Other	148	0	0	755	4	1	7	0	73	526	16	16	0	6	0	0	17	0	8	234	22	17	0	116	0	23	49	16	7	119	2,179
Brokers commision payable	0	0	0	0	0	0	0	0	0	0	3	0	5	38	0	0	38	0	0	0	0	7	0	11	0	70	0	14	0	94	281
Provisions	38	0	0	0	0	0	38	0	0	0	23	0	41	20	0	0	0	9	0	0	17	0	0	4	0	63	0	16	0	0	270
Sundry creditors	0	0	0	0	0	0	16	0	0	0	22	0	34	0	0	0	564	0	0	0	12	0	2	155	0	0	0	3	0	0	808
Taxation	0	0	0	0	0	0	0	0	(18)	0	30	0	2	0	0	0	0	0	0	0	0	0	0	4	0	0	0	0	0	0	18
Other	24	0	32	0	0	0	6	1	0	0	20	30	283	0	0	0	15	2	103	0	0	0	9	35	0	0	0	0	25	38	624
Total Current Liabilities	972	3	176	10,567	4	67	197	2	54	575	1,247	48	829	936	467	447	1,363	18	367	283	810	41	11	885	0	3,308	67	212	37	332	24,326
TOTAL LIABILITIES & EQUITY	1,325	149	312	13,060	438	171	577	131	424	857	1,763	120	1,027	812	515	554	1,978	29	886	504	947	197	126	1,272	400	3,408	246	270	385	588	33,471
Assets																															
Non - Current Assets																															
Property and Equipment	0	105	46	0	65	0	0	7	0	0	0	0	0	0	0	0	0	0	4	3	0	0	0	0	30	4	2	1	10	0	277
Land & Buildings	0	0	0	0	140	0	100	90	189	54	0	100	350	5	107	36	150	0	0	65	55	103	0	180	300	0	0	0	0	181	2,205
Furniture and Fittings	13	0	35	233	45	14	15	2	80	9	213	4	7	7	26	6	22	3	15	27	16	32	18	12	20	0	3	2	7	11	897
Motor Vehicles	109	0	114	246	99	20	64	0	0	21	0	9	228	23	29	18	20	2	44	136	49	9	37	65	0	2	0	26	10	25	1,405
Computer Equipment	46	0	25	140	5	13	8	2	0	7	0	4	32	8	0	12	13	0	5	12	11	3	4	8	0	0	4	9	5	40	415
Computer Software	0	0	10	19	2	0	0	1	0	0	0	0	26	27	7	18	0	0	0	0	0	0	0	0	0	0	0	0	0	5	115
Investments	0	0	50	26	31	0	111	19	15	137	170	0	0	2	7	42	0	0	160	37	0	19	12	19	0	20	0	0	130	75	1,083
Other	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	13	13	0	1	0	0	0	3	0	0	0	0	0	180	0	210
Total Non- Current Assets	167	105	280	664	387	48	297	120	284	228	383	117	645	72	175	144	219	5	229	280	131	167	75	283	350	26	10	38	343	336	6,606
Current Assets																															
Commission Receivable	0	17	31	8,783	6	14	5	1	0	0	0	0	317	560	0	75	558	0	0	197	178	0	0	776	0	2,798	59	0	2	144	14,521
Accured Investment Income	0	8	1	2	17	0	0	1	0	289	0	0	0	0	0	6	175	0	0	0	0	20	0	0	0	0	0	0	35	0	555
Other Debtors & Inventory	749	11	0	534	0	88	71	0	129	340	1,291	0	17	91	281	313	163	1	461	14	0	4	5	182	0	3	13	120	4	36	4,919
Cash & Cash Equivalents	409	7	0	3,077	27	21	204	8	11	0	89	3	48	90	59	16	863	23	195	13	639	6	47	31	50	582	165	111	1	72	6,871
Total Current Assets	1,158	44	32	12,397	51	122	280	10	140	629	1,380	3	382	741	340	411	1,760	24	657	224	816	30	52	989	50	3,382	237	232	42	252	26,865
Total Assets	1,325	149	312	13,060	438	171	577	131	424	857	1,763	120	1,027	812	515	554	1,978	29	886	504	947	197	126	1,272	400	3,408	246	270	385	588	33,471